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# PICTUREHOUSE CINEMAS LIMITED

Annual report and financial statements

Registered number 02310403

For the year ended 31 December 2024

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| | |
|---|---|
| **Directors** | C Binns<br>R Kaufman<br>J Horton (Appointed on 10 October 2025) |
| **Company Secretary** | S Brooker (resigned on 28th June 2024)<br>J Henrich (Appointed on 28th June 2024) |
| **Registered number** | 02310403 |
| **Registered office** | 8th Floor<br>Vantage London<br>Great West Road<br>Brentford<br>TW8 9AG |
| **Independent auditors** | Cooper Parry Group Limited<br>Sky View,<br>Argosy Road,<br>East Midlands Airport,<br>Castle Donington,<br>Derby,<br>DE74 2SA,<br>United Kingdom |

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## Strategic Report for the year ended 31 December 2024

The Directors present the Strategic Report for the Group and Company for the year ending 31 December 2024. These financial statements have been prepared on a consolidated basis to include the Company and its wholly owned subsidiaries. The Group and Company accounting reference date is 31 December.

**Principal activities**

Picturehouse Cinemas was established in 1989 as a response to the introduction of multiplexes in the UK. The business aimed to purchase and construct community cinemas in city centre locations, offering a cinema experience distinct from multiplexes. Independent, art house and foreign-language films remain central to the brand's profile. Each cinema is programmed in response to its local audience, with mainstream films and quality crossover titles complementing the schedule.

In 2017, Picturehouse Cinemas expanded into film distribution through its subsidiary, Picturehouse Entertainment Limited, to ensure that distinctive films, which might otherwise go undiscovered, reach the big screen.

During 2025 the Group operated a total of 25 cinemas comprising 18 under the Picturehouse Cinemas brand. The company is also parent for 7 single site companies that operate cinemas under the Picturehouse Cinemas brand. The Company is also the parent of Picturehouse Entertainment Limited, which acquires and distributes films, and Picturehouse Bookings Limited, which operates telephone and internet booking services for cinemas. Together these entities form the 'Group'.

***Events during the year***

2024 represented the Group's first full year of operations following the successful restructuring of its ultimate parent, Cineworld Parent Limited, and emergence from the Chapter 11 process in July 2023. The Group remains a wholly owned subsidiary of Cineworld Parent Limited, a company incorporated in the Cayman Islands.

During the year, the Group continued to review its site portfolio to ensure long-term profitability and operational efficiency. One new cinema was opened in Epsom, while the Stratford East and Ashford sites were closed as part of a cost rationalisation programme. The remainder of the estate continued to trade under the Picturehouse and City Screen brands, with a focus on maintaining a diverse and locally tailored film offering.

***Financial Performance and KPIs***

The Group's principal income source is box office revenue. Box office revenue is a function of the number of admissions and the ticket price per admission, less VAT. Admissions depend on the number, timing, and popularity of the films we can show in our cinemas. Admissions are also a key driver for the two other main revenues for the Group; retail revenue, the sale of food and drink for consumption within our cinemas; and screen advertising income, from advertisements shown on our screens before feature presentations. The Group also generates box office and pay-per-view revenue from distribution of acquired films which is dependent on the popularity of the films acquired. This is also a key driver in generating revenue from the subsequent licensing agreements with streaming platforms and television broadcasters, referred to as "video on demand from distribution".

Other income comprises revenue from advertisements, revenue from theatre hire, distribution revenue, and revenue from booking fees associated with the purchase of tickets online. In addition, the Group operates membership schemes, which provide customers with access to screenings in exchange for subscription fees.

The Group's revenue for the year increased to £43.4m (2023: £38.5m), bolstered by the successful releases of positive slate of movies in 2024. The loss for the year before taxation amounted to £10.2m (2023: loss of £2.2m).

On 31 December 2024, the Group had net liabilities of £43m (2023: £32.8m).

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## Strategic Report for the year ended 31 December 2024 *(continued)*

The business is managed on a combined basis with KPIs measured on the wider Group rather than at an individual entity level. Included below are the KPIs for the Company regarding the year-on-year change in attendance, average ticket price and concession spend per person.

| | 2024 | 2023 |
|---|---|---|
| Change in attendance | 276,924 | 497,732 |
| Change in average ticket price | £0.58 | £ (0.47) |
| Change in average concession spend per person | £ (0.13) | £ (0.04) |

***Principal risk and uncertainties***

The principal risks and uncertainties of the Group are discussed in further detail on pages 10 to 15 of the Crown UK Holdco Limited 2024 Annual Report and Accounts. The Crown UK Holdco Limited 2024 Annual Report and Accounts also includes details of the controls and mitigation activity in place.

These include:

| | |
|---|---|
| Technology and Data Control | A critical system interruption or major IT security breach encountered |
| Availability and Performance of Film Content | Lack of access to high-quality, diverse, and well publicised movie product |
| Provision of next Generation Cinemas | Maintaining/refurbishing existing sites and/or developing new sites fails to provide a circuit of next-generation cinemas. |
| Viewer Experience and Competition | The quality of products and services offered fails to meet the needs of the customer and deliver an enhanced viewer experience |
| Revenue from Retail/Concession Offerings | Delivery of a retail/concession offering that does not meet the requirements and preferences of our customers |
| Cinema operations | Failure to maintain and operate well-run and cost-effective cinemas |
| Regulatory Breach | A major statutory, regulatory, or contractual compliance breach |
| Strategy and Performance | The approach to setting, communicating, monitoring, and executing a clear strategy fails to deliver long-term objectives |
| Retention and Attraction | Failure to attract and retain Senior Management and/or other key personnel |
| Governance and Internal Control | A critical internal control and/ or governance failure occurs |
| Major incident | Inability to respond to a major incident |
| Treasury Management | Ineffective treasury management slows down our ability to service our debt obligations and deliver against our planned strategic initiatives (e.g. refurbishment programs) |
| Climate change | Warming of the planet caused by greenhouse gas emissions poses serious risks to the global economy and will have an impact across many economic sectors. |

**Section 172(1) Statement**

This statement describes how the members of the Board fulfil their obligations under section 172 of the Companies Act 2006. In discharging their duty to act, in good faith, in a way that they consider would be most likely to promote the success of the Group for the benefit of its members as a whole in accordance with section 172(1) of the Companies Act 2006, the directors have had regard to a number of different factors and stakeholder interests and in particular to the matters set out in section 172(1)(a – f) of the Companies Act 2006 as the following factors:

(a) the likely consequences of any decision in the long term;
(b) the interests of the company's employees;
(c) the need to foster the company's business relationships with suppliers, customers and others;
(d) the impact of the company's operations on the community and the environment;
(e) the desirability of the company maintaining a reputation for high standards of business conduct; and
(f) the need to act fairly between members of the company.

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## Strategic Report for the year ended 31 December 2024 *(continued)*

However, whilst the Group considers its shareholders and investors to be key stakeholders, as a wholly owned subsidiary the Group largely engages with its own immediate shareholder and Cineworld Parent Limited. Due to the nature of the Group as a wholly-owned subsidiary, limited decisions were taken by the Board during the 2023 financial year which required them to have regard to the factors set out in section 172(1) (a –f) of the Companies Act 2006.

When making decisions, the Board reviews the necessary financial and operational information at Board meetings, enabling the directors to comply with their duties under section 172(1) of the Companies Act 2006. Principal decisions taken by the directors during the year were in relation to financial matters, including whether to make intragroup dividend payments as detailed in the financial statements. The relevant factors considered during the decision-making processes were the likely long-term consequences of the decision (including whether it would be likely to promote the success of the Group for the benefit of its members) and the need to act fairly between members of the Group.

**Employee Engagement Statement**
Information on how the Directors have supported the Group's employees is included in the Directors' Report on page 8.

**Supplier and Stakeholder Engagement Statement**
The Directors have considered all the Group's stakeholders and the long-term consequences of decisions taken. Information on stakeholder engagement can be found in the Directors' report on page 8.

**Future developments**
During the calendar year 2024, the Group opened one new cinema in Epsom and closed two cinemas in Ashford and Stratford East respectively. This was following a cost rationalisation project to return the Group to sustainable profitability.

Other than the above, the Directors do not expect any change in the principal activities of the Group during the next financial period.

On behalf of the Board,

Signed by:
James Horton
C13179930A4D4E5...
**J Horton**
Director
4th March 2026

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## Directors' report for the year ended 31 December 2024

The directors present their report and the audited consolidated financial statements for the year ended 31 December 2024. The Group and Company accounting reference date is 31 December. The date to which the Group and Company have prepared comparative figures is 31 December 2023.

***Principal activities***
The principal activities of the Group and future developments are outlined in the strategic report.

**Political contributions**
The Group and Company made no political donations or incurred any political expenditure during the year (2023: None).

***Payment of dividends***
The Directors approved and paid a dividend of £nil (2023: £nil) during the financial year.

***Directors***
The Directors who served during the year and up to the date of signing of the financial statements were as follows:
C Binns
R Kaufman
J Horton (Appointed 10 October 2025)

***Directors' and Officers' Insurance and Indemnity***
The Parent Group and the new Parent Group maintain insurance cover for all Directors and Officers of Group companies against liabilities that may be incurred by them while acting as Directors and Officers. As of the date of this report, indemnities are in force under which the Group has agreed to indemnify the Directors as permitted by law and by the Articles against liabilities they may incur in the execution of their duties as Directors of the Group and Company. These indemnities are qualifying third-party indemnities. These policies were in force during the financial year and up to the date of signing this report.

***Independent auditors***
Pursuant to section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed, and Cooper Parry Group Limited will therefore continue in office.

***Financial Instruments Risk***
The Group finances its activities through a combination of reinvested cash and credit provided by fellow group undertakings. Financial instruments such as cash, trade receivables and trade payables arise directly from the Company's operating activities. Any risks associated with financial instruments are managed and reviewed at the UK Group level rather than at an individual entity level.

*Liquidity Risk*

Liquidity risk is the risk that the Company will encounter difficult in meeting its obligations associated with financial liabilities. The Company manages this risk it cash generation from its operations, reinvestment of cash generated, and credit facilities made available by fellow group undertakings.

*Credit risk*

Credit risk is the risk that counterparties to the Company will fail to honour their financial obligations. The nature of operations for the Company means that trade receivables are predominantly short term with normal credit terms. The Company's exposure to credit risk is diluted across many counterparties and customers, with no single significant debtor.

*Competitive and market risk*

The principal risk facing the business is a reduction in attendance levels. This is affected by factors including competition, film production and film release. The Group mitigates this risk through our own distribution business which assists in filling gaps in the film slate, as well as focus on the best possible guest experience and drive attendance and loyalty through the Picturehouse Membership Scheme.

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## Directors' report for the year ended 31 December 2024 *(Continued)*

**Events affecting the Company since the year end**

Refer to Future Developments in the Strategic Report.

**Going concern**

Details of the Directors' assessment of Going Concern are set out in Note 1.

**Employee Engagement Statement**

The Company is aware of its workforce engagement obligations, many of which are undertaken by the HR functions of the Group. The Directors have regard to such of these obligations as are relevant to their management of the business and operations of the Company in the context of the overall governance framework of Cineworld Parent Limited.

**Disabled employees**

The Company continues to give full and fair consideration to applications for employment by the Company made by disabled persons and continues the employment of and arranges appropriate training and other measures for employees of the Company who have become disabled persons during the period when they are employed by the Company.

**Supplier and Stakeholder Engagement Statement**

Engagement with stakeholders (including suppliers, customers and others) is often undertaken at operational level, and the Directors have regard to such of the obligations as are relevant to their management of the business and operations of the Company in the context of the overall governance framework of the Group. Having strong commercial relationships is key to operating our business successfully. With years of experience in the cinema industry, our teams have worked hard to develop strong working relationships with a range of film studios and distributors, retail partners, and property developers.

**Environmental matters and greenhouse gas emissions**

Pursuant to Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013 and the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 (the latter commonly referred to as Streamlined Energy and Carbon Reporting or "SECR") the Company is required to make specific disclosures around carbon emissions. See page 10.

**Disclosure of information to auditors**

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Group and Company's auditors are unaware; and each Director has taken all the steps that he/she ought to have taken as a Director to make himself/herself aware of any relevant audit information and to establish that the Group and Company's auditors are aware of that information.

On behalf of the Board

Signed by:
James Horton
C13179930A4D4E5...

**J Horton**
Director
4th March 2026

8th Floor Vantage London
Great West Road
Brentford
TW8 9AG

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## Statement of Directors' responsibilities in respect of the Strategic Report and the Directors' Report and the financial statements

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the group financial statements in accordance with International Financial Reporting Standards (IFRSs) as issued by the International Accounting Standards Board (IASB) and the company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law).

Under company law, directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the situation of the company and of the profit or loss of the company for that period. In preparing the financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable IFRSs as issued by the International Accounting Standards Board (IASB) have been followed for the group financial statements and United Kingdom Accounting Standards, comprising FRS 101 have been followed for the company financial statements, subject to any material departures disclosed and explained in the financial statements
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are also responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006.

### Directors' confirmations

In the case of each director in office at the date the directors' report is approved:

- so far as the director is aware, there is no relevant audit information of which the Group's and Company's auditors are unaware; and
- they have taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the Group's and Company's auditors are aware of that information.

On behalf of the Board

Signed by:
James Horton
C13179930A4D4E5...

**J Horton**
Director
4th March 2026

8th Floor Vantage London
Great West Road
Brentford
TW8 9AG

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## Energy and Carbon Reporting

**For the year ended 31 December 2024**

The information provided below complies with the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013 and The Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018; the latter commonly referred to as Streamlined Energy & Carbon Reporting.

### ORGANISATIONAL BOUNDARY, METHODOLOGY AND EXCLUSIONS

The organisational boundary used for the Company's GHG reporting is operational control.

The below figures capture emissions associated with the operation of the cinemas as well as any administrative buildings. The report refers to emissions from the UK, US, the portfolio across Europe and Israel.

This information was collected and reported in line with the methodology set out in the UK Government's Environmental Reporting Guidelines, 2019.

Emissions have been calculated using the 2024 conversion factors provided by The Department for Business, Energy, and Industrial Strategy (BEIS) for the UK where appropriate and practicable.

There are no material omissions from the mandatory Scope 1 and 2 emissions. The reporting period is January 2024 to December 2024.

### REPORTING SCOPE

The Company is reporting on emissions covered by Scopes 1 and 2 (comprising electricity, gas, company transportation and fugitive F-gas emissions) from UK operations. As well as these Scope 1 and 2 emissions figures, additionally, Scope 3 transmission and distribution losses (from electricity), and some grey fleet transportation emissions are also included voluntarily.

### EMISSIONS INCLUDED

Mandatory emissions sources as specified by the Environmental Reporting Guidelines published by the Department for Environment, Food and Rural Affairs ("Defra") have been included in this report (see also "Estimates and exclusions" below).

### GHG EMISSIONS DATA

Greenhouse gas emissions for Picturehouse Cinemas Limited from 1st January 2024 to 31th December 2024 , totalled 1,925 tonnes of carbon dioxide equivalent (tCO2e), calculated using a location-based methodology for assessing greenhouse gases. This figure reflects a -26% decrease compared to the previous financial year, where emissions totalled 2,606 tCO2e using the same methodology.

Table 1 illustrates the greenhouse gas (GHG) emissions for the Group over the 12-month period ending 31st December 2024, in tCO2e.

**Table 1: 2024 emissions (tonnes $tCO_2e$)**

| Emissions Source | 2023 | 2024 | Share (%) | (%) Annual Change |
|---|---|---|---|---|
| Purchased Electricity | 1,524 | 1,445 | 75% | -5% |
| Fuel Combustion: Natural Gas | 612 | 417 | 22% | -32% |
| Fuel Combustion: Transport | 35 | - | 0% | -100% |
| Facility Operation: F-Gasses | 435 | 63 | 3% | -86% |
| **Total emissions (tCO2e)** | **2,606** | **1,925** | **100%** | **-26%** |
| Revenue (£m) | 38 | 47 | | 25% |
| **Intensity: (tCO2e per £m)** | **68** | **41** | | **-41%** |

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## Energy and Carbon Reporting *(continued)*
**For the year ended 31 December 2024**

### GHG EMISSIONS DATA BY SCOPE

Scope 1 emissions include emissions associated with natural gas consumption, fugitive emissions of refrigerant gases used in facility operation, and operation of company cars. Scope 2 includes emissions associated with off-site electricity generation. Scope 3 emissions include those associated with losses from electricity distribution and transmission and business travel in private cars.

When the emissions are translated into the Scope of emissions for 2024, Table 2 shows that the Scope 2 emissions are the most significant, accounting for 58% of the group portfolio's total emissions i.e., 16,739 tCO2e – and this trend holds for the individual entities as well.

**Table 2. Greenhouse gas emissions by scope (tonnes CO2e)**

| Emissions Source | 2023 | 2024 | Share (%) | (%) Annual Change |
|---|---|---|---|---|
| Scope 1 | 1,048 | 1,534 | 45% | 0% |
| Scope 2 | 1,402 | 1,445 | 43% | 0% |
| Scope 3 | 156 | 417 | 12% | 2% |
| **Total emissions (tCO2e)** | **2,606** | **3,396** | **100%** | **2%** |

### ENERGY CONSUMPTION DATA BY EMISSIONS SOURCE

Table 3 shows energy consumption data by source in kilowatt-hours (kWh). The tables have been structured to reflect the emissions from the Company.

Despite a 100% decrease in transport consumption, there was a 15% decrease in the total energy consumed, from 10,262,557 kilowatt-hours (kWh) to 8.691,832 kWh. This is primarily due to the 32% decrease in natural gas consumption.

Tables 1 and 2 show the largest proportion of energy consumption is electricity representing 74% of total energy consumption, with natural gas representing 26% of total energy consumption. Transport accounts for 0% of total energy consumption. Please note that refrigerant gases are not included in total energy, as there is no energy associated with the release of these gases to the atmosphere.

| Emissions Source | 2023 | 2024 | Share (%) | (%) Annual Change |
|---|---|---|---|---|
| Purchased Electricity | 6,771,943 | 6,412,628 | 74% | -5% |
| Fuel Combustion: Natural Gas | 3,347,649 | 2,279,204 | 26% | -32% |
| Fuel Combustion: Transport | 142,965 | - | 0% | -100% |
| **Total consumption (kWh)** | **10,262,557** | **8,691,832** | **100%** | **-15%** |

### ESTIMATES AND EXCLUSIONS

This report sets out the GHG from operations for the reporting period 1st January 2024 to 31st December 2024. F-Gas emissions for Picturehouse Cinemas Limited (63 tCO2e) accounting for 3% of the total emissions has been estimated as there was no data recorded for the refrigerants refilled. There are no exclusions from the mandatory scope of the SECR reporting.

### ENERGY EFFICIENCY MEASURES

The Group has been implementing a decarbonisation strategy, there has been progress in reducing energy consumption and carbon emissions in 2024 on a financial turnover basis. The key strands of this strategy have focused on the following:

- Improving Meter Data Completeness;
- Influencing staff behaviour through consumption reporting;
- Publication of an energy and sustainability guide for cinemas;
- Improvement of building equipment efficiency and the introduction of new technology; and
- Joining low carbon heat schemes in new properties

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## Independent Auditor's Report to the Members of Picturehouse Cinemas Limited

*Opinion*

We have audited the financial statements of Picturehouse Cinemas Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 December 2024 which comprise the Consolidated statement of profit or loss and other comprehensive income, Consolidated statement of financial position, Consolidated statement of changes in equity, Consolidated statement of cash flows, Company Balance Sheet, Company Statement of Changes in Equity and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and UK adopted international accounting standards and, as regards the parent company financial statements, as applied in accordance with the provisions of the Companies Act 2006.

In our opinion:

- the financial statements give a true and fair view of the state of the group's and of the parent company's affairs as at 31 December 2024, and of the group's loss for the year then ended;
- the group financial statements have been properly prepared in accordance with UK adopted international accounting standards;
- the parent company financial statements have been properly prepared in accordance with UK adopted international accounting standards; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

*Basis for opinion*

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor responsibilities for the audit of the financial statements section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

*Conclusions relating to going concern*

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

*Other information*

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

*Opinions on other matters prescribed by the Companies Act 2006*

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

*Matters on which we are required to report by exception*

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

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- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or

## Independent Auditor's Report to the Members of Picturehouse Cinemas Limited (continued)

- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

*Responsibilities of directors*

As explained more fully in the directors' responsibilities statement set out on page 9, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group and the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

*Auditor responsibilities for the audit of the financial statements*

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

Our assessment focused on key laws and regulations the company has to comply with and areas of the financial statements we assessed as being more susceptible to misstatement. These key laws and regulations included but were not limited to compliance with the Companies Act 2006, United Kingdom Generally Accepted Accounting Practice and relevant tax legislation.

We are not responsible for preventing irregularities. Our approach to identifying and assessing the risks of material misstatement in respect of irregularities, including fraud and non-compliance with laws and regulations, was as follows:

- we obtained an understanding of the legal and regulatory framework applicable to the entity and how the entity complied with that framework, including a review of legal and professional nominal codes in the period;
- we made enquiries of management as to where they considered there was susceptibility to fraud and their knowledge of actual, suspected and alleged fraud;
- we obtained an understanding of the entity's policies and procedures and how the entity has complied with these, through discussions and by performing walkthroughs;
- we obtained an understanding of the entity's risk assessment process, including the risk of fraud;
- we designed our audit procedures to respond to our risk assessment; and
- we performed audit testing over the risk of management override of controls, including testing of journal entries and other adjustments for appropriateness, evaluating the business rationale of significant transactions outside the normal course of business and reviewing accounting estimates for bias, including the assumptions supporting the impairment assessment for property, plant and equipment and right of use assets.

In response to the risk of irregularities in relation to non-compliance with laws and regulations, we designed procedures which included but were not limited to:

- we agreed financial statement disclosures to underlying supporting documentation;
- we read the minutes of meetings of those charged with governance;
- we enquired of management as to actual and potential litigation and claims.

Whilst considering how our audit work addressed the detection of irregularities, we also consider the likelihood of detection based on our approach. Irregularities arising from fraud are inherently more difficult to detect than those arising from error. Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we

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will be less likely to become aware of instances of non compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation. A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditors/audit-assurance/auditor-s-responsibilities-for-the-audit-of-the-fi/description-of-the-auditor%E2%80%99s-responsibilities-for. This description forms part of our auditor's report.

## Independent Auditor's Report to the Members of Picturehouse Cinemas Limited (continued)

*Other matter*

A qualified opinion was issued on the financial statements for the year ended 31 December 2023 due to a limitation of scope in relation to a sub-population of property, plant and equipment acquired pre-2016.

The matters that lead to the qualification have been resolved for the financial statements for the year ended 31 December 2024 as management have taken the appropriate action to resolve the matter and sufficient appropriate audit evidence has been obtained in relation to property, plant and equipment. Therefore, our opinion on the financial statements for the year ended 31 December 2024 is not modified in respect of this matter.

*Use of our report*

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Emre Saka
69637051DF0441F...

*Emre Saka (Senior Statutory Auditor)*
*For and on behalf of Cooper Parry Group Limited*
*Statutory Auditor*
*Cooper Parry Group Limited*
*Sky View,*
*Argosy Road,*
*East Midlands Airport,*
*Castle Donington,*
*Derby,*
*DE74 2SA,*
*United Kingdom*
Date: 04 March 2026

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## Consolidated statement of profit or loss and other comprehensive income
***for year ended 31 December 2024***

| | Note | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|---|
| **Revenue** | 2 | **43,376,537** | 38,448,089 |
| Cost of sales | | **(23,979,014)** | (22,335,579) |
| **Gross profit** | | **19,397,522** | 16,112,510 |
| Other operating income | | **122,250** | 429,532 |
| Administrative expenses | | **(17,200,611)** | (21,335,914) |
| (Impairment reversal)/impairment on financial and contract assets | 10 | **(63,604)** | 2,937,148 |
| Impairment of property, plant and equipment, right-of-use assets and intangible assets | 8 | **(368,963)** | (396,440) |
| Impairment reversals of fixed assets | | **-** | 1,776,453 |
| Gain on extinguishment of debts | | **-** | 1,174,566 |
| Exceptional Item | 3 | **(8,443,791)** | |
| **Operating gain / (loss)** | | **(6,557,196)** | 697,885 |
| Finance costs | 5 | **(3,604,760)** | (2,894,962) |
| **Net finance costs** | 5 | **(3,604,760)** | (2,894,962) |
| **Loss before taxation** | | **(10,161,956)** | (2,197,107) |
| Tax (charge) / credit on loss | 6 | **(44,386)** | (1,215,515) |
| **Loss and total comprehensive loss for the financial year** | | **(10,206,342)** | (3,412,622) |

All results are derived from continuing operations.
The Company has no other comprehensive income than the loss for the year.
Notes from pages 19 to 51 form part of these financial statements.

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## Consolidated statement of financial position
***At 31 December 2024***

| | Note | 31 December 2024 £ | 31 December 2023 £ |
|---|---|---|---|
| **Fixed assets** | | | |
| Intangible assets | *7* | **657,945** | 1,060,002 |
| Property, plant and equipment | *8* | **19,746,214** | 28,914,654 |
| Right-of-use assets | *13* | **4,660,067** | 6,827,281 |
| Deferred tax | *14* | **-** | 44,385 |
| | | **25,064,226** | 36,846,322 |
| **Current assets** | | | |
| Inventories | *9* | **328,296** | 329,353 |
| Trade and other receivables | *10* | **10,318,846** | 9,577,028 |
| Cash at bank and in hand | *11* | **5,354,700** | 2,363,545 |
| | | **16,001,843** | 12,269,926 |
| **Current liabilities** | | | |
| Creditors | *12* | **(62,070,069)** | (56,691,001) |
| Lease liabilities | *13* | **(675,242)** | (873,987) |
| **Total current liabilities** | | **(62,745,310)** | (57,564,988) |
| **Net current liabilities** | | **(46,743,468)** | (45,295,062) |
| **Total assets less current liabilities** | | **(21,679,242)** | (8,448,740) |
| **Non-current liabilities** | | | |
| Creditors: amounts falling due after more than one year | *12* | **(2,971,667)** | (2,332,134) |
| Lease liabilities | *13* | **(18,390,319)** | (22,054,012) |
| | | **(21,361,986)** | (24,386,146) |
| **Net liabilities** | | **(43,041,228)** | (32,834,886) |
| **Capital and reserves** | | | |
| Called up share capital | *15* | **157** | 157 |
| Revaluation reserve | | **200,000** | 200,000 |
| Share premium account | | **1,326,412** | 1,326,412 |
| Capital reserve | | **8,953,508** | 8,953,508 |
| Accumulated losses | | **(53,521,305)** | (43,314,963) |
| **Total shareholders' deficit** | | **(43,041,228)** | (32,834,886) |

The notes from pages 20 to 51 form part of these financial statements.

The financial statements on pages 16 to 51 were approved by the board of Directors on 04 March 2026 and were signed on its behalf by:

Signed by:
James Horton
C13179930A4D4E5...

**J Horton**
Director
Registered number: 02310403

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## Consolidated statement of changes in equity
***for the year ended 31 December 2024***

| Group | Share capital £ | Share premium £ | Other reserves £ | Capital reserves £ | Retained earnings / (Accumulated losses) £ | Total equity £ |
|---|---|---|---|---|---|---|
| On 1 January 2023 | 157 | 1,326,412 | 200,000 | 8,953,508 | (39,902,341) | **(29,422,264)** |
| ***Comprehensive loss for the financial year*** | | | | | | |
| Loss for the year | - | - | - | - | (3,412,622) | (3,412,622) |
| Total comprehensive loss for the financial year | - | - | - | - | (3,412,622) | (3,412,622) |
| **On 31 December 2023** | **157** | **1,326,412** | **200,000** | **8,953,508** | **(43,314,963)** | **(32,834,886)** |
| ***Comprehensive loss for the financial year*** | | | | | | |
| Loss for the year | - | - | - | - | (10,206,342) | (10,206,342) |
| **Total comprehensive loss for the financial year** | - | - | - | | **(10,206,342)** | **(10,206,342)** |
| **On 31 December 2024** | **157** | **1,326,412** | **200,000** | **8,953,508** | **(53,521,305)** | **(43,041,228)** |

The notes on pages 19 to 51 form part of these financial statements.

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## Consolidated statement of cash flows
***for the year ended 31 December 2024***

| | Note | 2024 £ | 2023 £ |
|---|---|---|---|
| **Cash flows from operating activities** | | | |
| (Loss) for the year | | **(10,206,342)** | (3,412,622) |
| *Adjustments for:* | | | |
| Depreciation of property, plant, and equipment | *8* | **2,109,498** | 1,854,820 |
| Depreciation of right-of-use assets | *13* | **568,223** | 1,003,165 |
| Impairment of fixed assets | *8* | **368,963** | 396,440 |
| Impairment reversal of fixed assets | *8* | **-** | (1,776,453) |
| Amortisation of intangible fixed assets | *7* | **402,057** | 460,807 |
| Impairment on financial and contract assets | *10* | **63,604** | (2,937,148) |
| | *5* | **-** | - |
| Finance expense | *5* | **3,604,760** | 2,894,962 |
| Loss on disposal of property, plant, and equipment | *8* | **-** | 54,797 |
| Income tax expense / (credit) | *6* | **(44,386)** | 1,215,515 |
| Decrease / (Increase) in trade and other receivables | | **(741,818)** | (1,048,660) |
| Decrease / (Increase) in inventories | | **1,057** | (73,242) |
| Increase/(Decrease) in trade and other payables | | **(68,381)** | (2,343,381) |
| **Cash generated from operations** | | **(3,942,765)** | (3,711,000) |
| **Net cash flows from operating activities** | | **(3,942,765)** | (3,711,000) |
| **Investing activities** | | | |
| Payments for property, plant, and equipment | *8* | **(1,824,951)** | (6,157,054) |
| Payments for the acquisition of intangibles | *7* | **-** | (593,106) |
| **Net cash used in investing activities** | | **(1,824,951)** | (6,750,160) |
| **Financing activities** | | | |
| Principal paid on lease liabilities* | *13* | **(3,668,256)** | (4,876,540) |
| Landlord incentives received | | **1,554,570** | 852,631 |
| Receipts from Parent Group undertakings | | **14,449,550** | 15,664,832 |
| Interest paid on loans and liabilities | | **(3,576,993)** | (464,735) |
| **Net cash generated from financing activities** | | **8,758,872** | 11,176,188 |
| Net increase in cash and cash equivalents | | **2,991,155** | 556,679 |
| Cash and cash equivalents at beginning of year | | **2,363,545** | 1,648,517 |
| **Cash and cash equivalents at end of year** | *11* | **5,354,700** | 2,363,545 |

* Payment of lease liabilities includes £625,783 (2023: £1,752,152) of interest payments and £3,042,473 (2023: £1,399,368) of principal lease payments, both of which are presented within financing activities in the consolidated statement of cash flows.

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## Notes to the consolidated financial statements

### 1. Accounting Policies

**General information**

Picturehouse Cinemas Limited (the "Company") is a private limited company limited by shares incorporated and domiciled in the UK. The Company's registered address is 8th Floor Vantage London, Great West Road, United Kingdom, TW8 9AG.

**Basis of preparation**

The consolidated financial statements include the results of Picturehouse Cinemas Limited and its subsidiary undertakings (together the "Group").

These financial statements have been prepared on a consolidated basis. Comparative figures in the consolidated financial statements for the year ended 31 December 2024 have been presented on a consolidated basis to include the Group.

These financial statements have been prepared in accordance with UK adopted IFRS and with those parts of the Companies Act 2006 applicable to Companies reporting under IFRS. In preparing these financial statements, the Group applies the recognition, measurement, and disclosure requirements of International Financial Reporting Standards ("IFRSs").

These financial statements are separate financial statements and have been prepared in accordance with the Companies Act 2006. The Company's immediate parent is Cineworld Holdings Limited and its ultimate parent Cineworld Parent Limited. It is included in the consolidated financial statements of Cineworld Parent Limited, which are publicly available. The group accounts of Cineworld Parent Limited are available to the public and can be obtained from Companies House, refer to note 20 for further information.

The accounting policies set out below have been applied consistently to all the years presented in these Group financial statements.

The financial statements are prepared on a historical cost basis.

**Presentational currency**

The financial results of the Group are presented in Pound Sterling rounded to the nearest £.

**Going concern**

The Directors of the Group and Company have prepared the financial statements on a going concern basis which assumes the Group and Company will be able to meet their future obligations as they fall due, and the Group and Company will settle all payments within the agreed terms.

The Group and Company is reliant on financial and other support from a parent entity to meet its obligations, specifically relating to external creditors. The Directors of the Group and Company have therefore performed an assessment of the Parent Group and New Parent Group's ability to continue as a going concern. The Parent Group and New Parent Group's going concern assessment is duly outlined below.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

Over the past three years, the Parent Group has sought to address the various operational and financial challenges generated by the COVID-19 pandemic. Along with reducing its cost base, the Parent Group undertook various financing and liability management transactions aimed at improving liquidity.

*Voluntary Reorganisation under Chapter 11*
Given the long-lasting effects of COVID-19 on the cinema industry, these financing and liability management transactions did not resolve the Parent Group's liquidity challenges. As a result, on 7 September 2022, the Parent Group announced that Cineworld and certain of its subsidiaries (collectively, the "Group Chapter 11 Companies") had filed voluntary petitions for relief under title 11 of the United States Code (the "Chapter 11 Cases") in the United States Bankruptcy Court for the Southern District of Texas (the "Bankruptcy Court").

On 31 July 2023, the Parent Group, including its newly incorporated parent company, Cineworld Parent Limited, announced that the Chapter 11 Companies had successfully completed their plan of re-organisation (the "Plan") and emerged from the Chapter 11 Cases. As part of the Plan, the Chapter 11 Companies successfully reduced their funded indebtedness by approximately $4.3 billion, raised approximately $800 million in new equity capital, and secured new debt financing in the aggregate amount of approximately $1.71 billion, including a new revolving credit facility ("RCF") of $250 million. On the same date, the former parent company, Cineworld Group plc, entered administration pursuant to a court order under the UK Insolvency Act 1986.

Despite the successful execution of the Plan, the Parent Group remains exposed to the effects of fluctuating cinema admission levels and ability to generate positive free cash flows. On a monthly basis, these cinema admission levels can be materially impacted by the performance of individual 'blockbuster' films. Due to multiple factors, including but not limited to changing consumer behaviours, the Parent Group's ability to forecast future admission levels has become inherently more challenging in the post-COVID environment.

*Pre-Petition Borrowings*
The filing of the Chapter 11 Cases constituted an event of default that accelerated substantially all obligations under the documents governing the prepetition existing indebtedness of the Parent Group Chapter 11 Companies. In response to this, the Parent Group has reclassified all such debt obligations, other than debt subject to compromise, to current maturities of long-term debt in the CRUK Annual Report as of 31 December 2022. Refer to Note 16 for further details.

*Debtor-In-Possession ("DIP") Financing Facility*
When the Parent Group Chapter 11 Companies commenced their Chapter 11 Cases, they secured a super-priority senior secured priming multi-draw term loan credit facility of approximately $1,935 million (the "DIP Facility"). Borrowings on the DIP Facility, together with the Parent Group's available cash reserves and cash flows from operations, provided sufficient liquidity for the Parent Group to meet its ongoing obligations, including post-petition obligations to vendors and suppliers, as well as employee wages, salaries, and benefits programs, over the course of the Chapter 11 Cases.

Prior to the emergence from the Chapter 11 Cases, the ability of the Parent Group to continue as a going concern remained dependent on the DIP Facility being available and sufficient for the Group's needs. For the duration of the Chapter 11 Cases, there were no defaults under the credit agreement governing the DIP Facility.

The DIP Facility was successfully repaid upon exit from the Chapter 11 Cases (refer below).

*Restructuring Support Agreement and Backstop Commitment Agreement*
On 2 April 2023, the Parent Group Chapter 11 Companies entered into a restructuring support agreement and a backstop commitment agreement with certain lenders holding and controlling the Group's term loans due 2025 and 2026 and revolving credit facility due 2023 (together, the "Legacy Facilities"). Further, on 9 May 2023, the Parent Group Chapter 11 Companies entered into amended and restated versions of the restructuring support agreement (as amended and restated, the "RSA") and the backstop commitment agreement (as amended and restated, the "BCA") with certain lenders holding and controlling approximately 99% of the Legacy Facilities.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

When subsequently implemented upon exit from the Chapter 11 Cases, the RSA and BCA:

- reduced the Parent Group Chapter 11 Companies' funded indebtedness by approximately $4.3 billion, principally through lenders under the Legacy Facilities (the "Legacy Lenders") receiving equity in the reorganised Parent Group in exchange for the release of their claims under the Legacy Facilities;
- raised $800 million in aggregate gross proceeds, through a fully backstopped equity offering to the Legacy Lenders (the "Backstopped Rights Offering") and a direct equity offering to certain Legacy Lenders (the "Direct Allocation Offering" and, together with the Backstopped Rights Offering, the "Rights Offering"); and
- provided approximately $1.46 billion (net of original issue discount and excluding the RCF (as defined below)) in new debt financing (the "Exit Facility") to the Parent Group Chapter 11 Companies upon their emergence from the Chapter 11 Cases.

The proceeds of the Rights Offering and the Exit Facility were used to, among other things: (i) repay in full the DIP Facility; (ii) fund the costs associated with the Parent Group Chapter 11 Companies' emergence from the Chapter 11 Cases; and (iii) fund their go-forward business operations.

The restructuring did not provide any recovery for holders of Cineworld's prepetition existing equity interests and limited recovery for unsecured creditors.

*Revolving Credit Facility*
On 31 July 2023, the Parent Group entered a new Revolving Credit Facility ("RCF") with an aggregate principal amount of $250 million. The RCF matures on 31 July 2027 and has several covenants in place around the future reporting of quarterly and annual financial results.

*Dissenting Shareholders*
On 10 September 2021, the Parent Group announced that it had reached an agreement with the dissenting shareholders of Regal Entertainment Group (the "Regal Litigation Parties") with respect to the payment of judgement of their claim. Under this agreement, the Parent Group paid $170 million of the judgement to the dissenting shareholders and $92 million was placed into an escrow account to be available to the Parent Group as additional liquidity under certain circumstances.

When the Parent Group Chapter 11 Companies commenced their Chapter 11 Cases, the Parent Group still owed $56.2 million to the Dissenting Shareholders who, under the terms of the judgement, were deemed to be unsecured creditors within the Class 6 – Section 510(b) Claims. Therefore, while $56.2 million was owed as of 31 December 2022, this liability was extinguished upon emergence from the Chapter 11 Cases and no future payments will be made to the Dissenting Shareholders in accordance with the terms of the Plan.

*Cineplex*
On 6 July 2020, the Parent Group confirmed that Cineplex, Inc. ("Cineplex") had initiated proceedings against it in relation to its termination on 12 June 2020 of the arrangement agreement relating to its proposed acquisition of Cineplex (the "Acquisition" and such agreement, the "Arrangement Agreement"). The proceedings alleged that the Parent Group breached its obligations under the Arrangement Agreement and/or duty of good faith and claimed damages of up to C$2.18 billion less the value of Cineplex shares retained by Cineplex shareholders.

On 15 December 2021, the Ontario Superior Court of Justice granted Cineplex's claim, dismissed the Parent Group's counterclaim and awarded Cineplex damages of C$1.23 billion for lost synergies to Cineplex and C$5.5 million for lost transaction costs. The Parent Group disagreed with this judgement and appealed the decision.

On 9 September 2022, Cineplex filed a motion for emergency relief from the automatic stay in connection with the Parent Group Chapter 11 Cases to proceed with the appeal process relating to the Cineplex litigation. The Parent Group filed an objection to Cineplex's motion on 22 September 2022. A hearing before the Bankruptcy Court took place on 28 September 2022 to consider Cineplex's motion. The Bankruptcy Court denied the motion and ruled to uphold the automatic stay in connection with the Chapter 11 Cases.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

No liability was recognised in respect of the judgement at the balance sheet date on the basis that payment was not considered probable at that stage, and the directors did not factor any payment of damages within their assessment of whether it was appropriate to adopt the going concern basis for the Group as of 31 December 2024. While the Chapter 11 Cases were ongoing, any amounts subsequently owed to Cineplex rank alongside the Parent Group's other unsecured claims within Class 5A – Section 510(b) Claims, and Cineplex will receive its pro rata share of the Class 5A recovery out of the general unsecured claim recovery pool (in accordance with the Plan). At emergence from the Chapter 11 Cases, Cineplex's claim against Cineworld Group plc (and other subsidiary companies) was extinguished.

***Conclusion***

The 2024 financial statements have been prepared assuming that the Parent Group will be able to provide sufficient support, as needed, to enable the Company to continue as a going concern.

The Directors have determined the going concern basis of accounting in the preparation of the financial statements is appropriate considering the signing and subsequent execution of the restructuring support agreement and backstop commitment agreement, combined with the forecast trading levels and hence the level of liquidity and available finance in making this assessment.

Despite the Parent Group Chapter 11 Companies' emergence from Chapter 11, the recovery of the Parent Group remains sensitive to the speed at which admission levels continue to recover following the COVID-19 pandemic. If admissions fail to reach the Parent Group's forecasts, the recovery of the Parent Group may be slower than anticipated and the new financing arrangements may prove to be inadequate. Admission levels may be impacted by matters outside of the Parent Group's control such as the reception of certain theatrical releases or macro events, for example the recent Writers Guild of America strike and SAG-AFTRA (Screen Actors Guild – American Federation of Television and Radio Artists) strike – both of which have now ended but impacted the release date of several movies.

To gauge the going concern position, a liquidity model has been developed, extending to 31 January 2026, producing both a base case and a severe but plausible downside case. Under the base case scenario, the Parent Group foresees no additional liquidity needs during the specified period. The downside case incorporates a further 15 percent reduction in admissions and would require the group to draw down on its Revolving Credit Facility (RCF) to meet its obligations, but no additional financing would be required.

Upon careful consideration of the aforementioned factors, the Directors are confident in the ability of the Group and Company, with support as needed from the Parent Group to sustain its operations for the foreseeable future, extending at least 12 months from the date of this report. Consequently, the Group and Company continues to apply the going concern basis in preparing these financial statements.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Significant accounting policies**
The accounting policies set out below have been applied consistently in dealing with items which are considered material in relation to the Group's financial statements.

**Basis of Consolidation**

**Subsidiaries**
Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and can affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

**Transactions eliminated on consolidation**
Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated.

**Property, plant and equipment**
Property, plant and equipment are stated at deemed cost less accumulated depreciation and accumulated impairment losses.

Depreciation is provided by the Group to write off the cost less the estimated residual value of Property, plant and equipment by equal instalments over their estimated useful economic lives as follows:

| | |
|---|---|
| Leasehold improvements | 30 years or life of lease if shorter |
| Freehold improvements | 20 to 50 years |
| Plant and machinery | 3 to 10 years |
| Motor vehicles | 3 years |
| Fixtures and fittings | 3 to 10 years |

Assets acquired for use in cinemas are depreciated from the date the cinema is available for use. Cinema properties during construction are separately identified as a component of tangible fixed assets and are not depreciated until the cinema is ready for use.

**Impairment of fixed assets**
The carrying amounts of the Group's assets are reviewed at each Balance Sheet date to determine whether there is any indication of impairment. If any such indication exists, the assets recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its cash-generating-unit ('CGU') exceeds its recoverable amount. Impairment losses are recognised in the Consolidated statement of profit or loss and other comprehensive Income.

Impairment tests in respect of property, plant and equipment and right-of-use assets are based on cash flows for individual sites.

Impairment losses recognised in respect of CGUs are allocated to reduce the carrying amount of the other assets in the unit on a pro-rata basis. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

The Group evaluates its fixed assets for financial impairment where events or circumstances indicate that the carrying amount of such assets may not be fully recoverable. When such evaluations indicate that the carrying value of an asset exceeds its recoverable value, an impairment in value is recorded.

**Calculation of recoverable amount**
The recoverable amount is the greater of the asset's fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs.

**Reversals of impairment**
An impairment loss is reversed when there is an indication that the impairment loss may no longer exist because of a change in the estimates used to determine the recoverable amount, including a change in fair value less costs to sell.
An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

**Intangible assets**

***Distribution rights***
Identifiable intangible assets are those which can be sold separately, or which arise from legal rights regardless of whether those rights are separable such as acquired exclusive distribution rights to films. Intangible assets that are acquired by Picturehouse Cinemas are stated at cost less accumulated amortisation and impairment losses.

Amortisation is charged to administrative expenses in the Consolidated statement of profit or loss on a straight-line basis over the estimated useful lives of intangible assets.

The estimated useful lives are as follows:

- Distribution rights 3 years

**Inventories**
Inventories are stated at the lower of cost and net realisable value. The cost of inventories is based on the First-In, first-Out ("FIFO") principle. Cost comprises expenditure incurred in acquiring the inventories and bringing them to their existing location and condition, and net realisable value is the estimated selling price in the ordinary course of business, less the estimated selling costs.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Taxation**
Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the Consolidated statement of profit or loss except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustments to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The temporary difference for the initial recognition of assets and liabilities that affect neither accounting nor taxable profit other than in a business combination, is not provided for. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using rates enacted or substantively enacted at the balance sheet date. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available which the asset can be utilised.

**Cash and cash equivalents**
Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents.

**Government Grants**
Government grants relating to the subsidy of assets are recognised initially as deferred income at fair value when there is reasonable assurance that they will be received, and the Group will comply with the conditions associated with the grant. They are then recognised in the Consolidated statement of profit or loss as other income on a systematic basis over the useful life of the asset to which they relate.

Government grants relating to the subsidy of costs are deferred and recognised in the Consolidated statement of profit or loss over the period necessary to match them with the costs that they are intended to compensate. Details are provided in Notes 3.

**Leases**
The Group's leases predominantly relate to property leases for each cinema site. The Group aims to obtain rental contracts for fixed periods of 25 years, but these may have extension options. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group in the Consolidated statement of financial position. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to the Consolidated statement of profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period. Both principal and finance cost elements of lease payments are recognised within financing cash flows within the Consolidated Statement of cash flows.

The depreciation charge recognised on the right-of-use assets is being charged to administration expenses in the Consolidated statement of profit or loss, in-line with where depreciation has previously been recorded.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

Liabilities arising from leases are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and,
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the lessee's incremental borrowing rate being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

To determine the incremental borrowing rate, the Group:

- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Group, which does not have recent third-party financing; and
- adjusts specific to the lease conditions.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received; and
- any initial direct costs.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in the Consolidated statement of profit or loss. Short-term leases are leases with a lease term of 12 months or less or leases on adoption date which has a lease term of 12 months or less. Low-value assets comprise IT-equipment and small items of office and cinema equipment.

The Group is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

**Sub-leases**
The Group applies IFRS 16 to all leases of right of use assets in sub-leases. The Group classifies the sub-lease as a finance lease or an operating lease with reference to the right of use asset arising from the head lease. The Group treats the right-of-use asset as the underlying asset in the sub-lease, not the item of property, plant and equipment that it leases from the head lessor. For sub leases classified as operating leases, rental income will continue to be recognised in the Consolidated statement of profit or loss in the period to which it relates.

For sub leases classified as finance leases, the Group will recognise an asset classified as net investment in a sub-lease. The Group uses the discount rate it uses for the head lease, adjusted for any initial direct costs associated with the sub-lease to account for the sub-lease.

During the term of the sub-lease, the Group recognises both interest income on the sub-lease and interest expense on the head lease.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Lease modifications**
Where lease contracts are amended resulting in extensions to the minimum lease term or increases to the overall consideration under the lease, they are treated as modifications under IFRS 16.

**Landlord contributions**
Where the Group receives contributions and incentives from landlords at the start of the lease, these are recorded against the right-of-use asset. Where landlord contributions are received before the start of the lease, this is recognised on the balance sheet as a liability until the lease has started.

**Variable lease payments**
Some property leases contain variable payment terms that are linked to sales generated from a particular cinema site. For individual sites, up to 3% of lease payments are based on variable payment terms of 2% of sales. Variable payment terms are used for a variety of reasons, including minimising the fixed costs base for newly established sites. Variable lease payments that depend on sales are recognised in cost of sales within the Consolidated statement of profit or loss in the period in which the condition that triggers those payments occurs.

**Financial instruments**
Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the financial instrument. Financial assets are de-recognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities are de-recognised when the contractual obligations are discharged, cancelled or expire.

Financial assets and financial liabilities are offset, and the net amount is reported in the Consolidated statement of financial position, when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the financial asset and settle the financial liability simultaneously.

IFRS 9 contains three classification categories for financial assets and liabilities: measured at amortised cost, fair value through profit or loss ("FVPL") and fair value through other comprehensive income ('FVOCI'). At initial recognition, the Group classifies its financial instruments in the following categories depending on the purpose for which the financial instruments were acquired:

**Financial assets and liabilities at amortised cost:**
The Group's financial assets at amortised cost comprise trade receivables and are included in current assets due to their short-term nature. Financial assets at amortised cost are initially recognised at the amount expected to be received, less, when material, a discount to reduce the financial assets at amortised cost to fair value. Subsequently, financial assets at amortised cost are measured at amortised cost using the effective interest method, less a loss allowance.

Financial liabilities at amortised cost include trade and other payables. Trade payables are initially recognised at the amount required to be paid, less, when material, a discount to reduce the payables to fair value. Subsequently, trade payables are measured at amortised cost using the effective interest method. Financial liabilities are classified as current liabilities if payment is due within 12 months. Otherwise, they are presented as noncurrent liabilities.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Impairment of financial assets**
The Group measures expected credit losses using the following bases for all current trade and other receivables.

Loss allowances will be measured on either of the following bases:
i. 12-month expected credit losses ('ECLs') are the ECLs that result from possible default events within 12 months after the reporting date; and

ii. lifetime ECLs which are ECLs that result from all possible default events over the expected life of a financial instrument.

The expected loss rates are based on the historical payment profiles of sales during the financial year and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

The Group has identified historical losses measured against receivables to be the most relevant factors and accordingly adjusts the historical loss rates based on expected changes in these factors.

All amounts due from fellow Parent Group undertakings are repayable on demand and the nature of these receivables is considered within the expected credit loss calculation.

The expected credit losses are calculated using the 3-stage general impairment model as follows:

- probability of default – the likelihood that the borrower would not be able to repay in the very short payment period;
- loss given default – the loss that occurs if the borrower is unable to repay in that very short payment period; and
- exposure at default - the outstanding balance at the reporting date.

The probability of default is based on an external assessment of the Parent Group's weighted corporate default rate which is a function of the Parent Group's external credit rating.

**Intra-group financial instruments**
Where the Company/Group enters financial guaranteed contracts to guarantee the indebtedness of other companies within its group, the Company/Group considers these to be insurance arrangements and accounts for them as such. In this respect, the Company/Group treats the guaranteed contract as a contingent liability until such time as it becomes probable that the Company will be required to make a payment under the guarantee. Guarantees during the year have been mentioned in note 21.

**Revenue**
Revenue represents the total amount receivable for goods sold and services provided, excluding sales-related taxes and intra-group transactions. All the Group's revenue is received from the sale of goods and services. The Group disaggregates revenue into nine revenue streams which are made up of the following:

**Box office revenue**

- Box office revenue is recognised on the date of the showing of the film it relates to.

**Retail revenue**

- Concessions revenue includes the sale of food and drink in the cinemas. All concession revenue is recognised at the point of sale.
- The Group records proceed from the sale of gift cards and other advanced bulk tickets in deferred revenue and recognises admissions or retail revenue when redeemed. Dependent on the revenue stream the gift card is redeemed against, revenue will either be recorded within box office revenue or retail revenue.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Advertising revenue**

Advertising revenue is recognised as follows;

- On screen advertising - revenue is recognised at the point the advertisement is shown in cinemas, or the related impressions are delivered.
- Publication advertising - The Group publishes magazines and online content for free, which is supported through paid advertising. Revenue is recognised when performance obligations to the advertiser relating to publications have been fulfilled.
- Event advertising - The Group hosts various events which are supported through paid advertising. Revenue is recognised at the point of the event.

**Membership revenue**

- Membership revenue is recognised over a period and relates to the purchase of a specific number of tickets along with exclusive offers. Revenue is recognised over a 6-month period on a straight-line basis, being the expected time taken for members to redeem their tickets.

**Theatre hire**

- The Group allows for the hire of cinema rooms for private events. This revenue is recognised at the point when the event occurs.

**Booking fee revenue**

- Revenue is recognised at the point performance obligations are met, being the date of the film screening. Revenue arises from booking fees charged to customers, recognised on the date of the film showing, as well as rebate income from third-party operators of the telephone booking system.

**Box office and pay-per-view from distribution revenue**

- Revenue from box office and pay-per-view sales are recognised on the date of the showing of the film it relates to.

**Video on demand from distribution**

- Revenue from licensing sales to streaming platforms represents the contracted value of licensing fees which is recognised when the license period begins, the production is available for delivery, substantially all technical requirements have been met, and collection of the fee is reasonably assured.

**Sponsorship revenue**

Revenue from sponsorship income represents the contracted value of sponsorship agreements, which is recognised over the period in which the sponsored events, productions, or promotional activities occur. Revenue is recognised when the obligations under the sponsorship agreement are substantially fulfilled, the sponsored content is available for delivery or exposure, and collection of the sponsorship fee is reasonably assured.

**Other revenue**

Other revenue includes the following:

- The Group receives rebates primarily from concession vendors. The rebates are either a fixed amount or a specified percentage based on the total purchases made from the vendor. The rebates are subject to some estimation uncertainty, but the arrangements are not complex. Rebates are calculated and accrued monthly based on the volume of purchases.
- These rebates are either recognised as other revenues, a reduction of cost of goods sold, or a combination of the two dependents on the nature of the services provided. For arrangements where the Group is providing various forms of in theatre, lobby or website advertising in exchange for the rebate, such rebates are accounted for as a component of other revenues. For arrangements under which the Group provides no material form of advertising such rebates are accounted for as a reduction of cost of goods sold.
- Revenue from the sale of physical copies (e.g. DVDs, blue ray, etc) is recognised at the point of sale.
- The sale of marketing and advertising material which is recognised at the point of sale.

**Deferred revenue**

Deferred revenue primarily consists of the following:

- Unredeemed gift cards and bulk tickets: Revenue is initially recognised in deferred revenue and subsequently recognised in revenue in proportion to the pattern exercised by the customer.
- Revenue received in advance for advertising contracts.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Cost of sales and administrative expenses**
Cost of sales represents direct costs incurred associated with the generation of revenue as part of the cinema trading activities. Administrative expenses include all other costs incurred, including depreciation, repairs and maintenance, rent and rates, cleaning and other similar costs.

**Net financing costs**
Net financing costs comprise interest payable and receivable from both external and internal borrowings, interest expense on lease liabilities and foreign exchange gains and losses.

**New Standards and interpretations**

In the current year, the Company has applied several amendments to IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) that are mandatorily effective for an accounting period that begins on or after 1 January 2023. Their adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

| | |
|---|---|
| IFRS 17 *Insurance Contracts (including the June 2020 and December 2021 Amendments to IFRS 17)* | The company has adopted IFRS 17 and the related amendments for the first time in the current year. IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts and supersedes IFRS 4 Insurance Contracts.<br>IFRS 17 outlines a general model, which is modified for insurance contracts with direct participation features, described as the variable fee approach. The general model is simplified if certain criteria are met by measuring the liability for remaining coverage using the premium allocation approach. The general model uses current assumptions to estimate the amount, timing and uncertainty of future cash flows and it explicitly measures the cost of that uncertainty. It considers market interest rates and the impact of policyholders' options and guarantees.<br>The company does not have any contracts that meet the definition of an insurance contract under IFRS 17. |
| Amendments to IAS 1 *Presentation of Financial Statements and IFRS Practice Statement 2 Making Materiality Judgements—Disclosure of Accounting Policies* | The company has adopted the amendments to IAS 1 for the first time in the current year. The amendments change the requirements in IAS 1 regarding disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general-purpose financial statements make based on those financial statements.<br>The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material.<br>The IASB has also developed guidance and examples to explain and demonstrate the application of the 'four-step materiality process' described in IFRS Practice Statement 2. |

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

| | |
|---|---|
| Amendments to IAS 12 *Income Taxes—Deferred Tax related to Assets and Liabilities arising from a Single Transaction* | The company has adopted the amendments to IAS 12 for the first time in the current year. The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting profit nor taxable profit. Following the amendments to IAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12. |
| Amendments to IAS 12 *Income Taxes—International Tax Reform — Pillar Two Model Rules* | The company has adopted the amendments to IAS 12 for the first time in the current year. The IASB amends the scope of IAS 12 to clarify that the Standard applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the OECD, including tax law that implements qualified domestic minimum top-up taxes described in those rules.<br>The amendments introduce a temporary exception to the accounting requirements for deferred taxes in IAS 12, so that an entity would neither recognise nor disclose information about deferred tax assets and liabilities related to Pillar Two income taxes.<br>Following the amendments, the company is required to disclose that it has applied the exception and to disclose separately its current tax expense (income) related to Pillar Two income taxes. |
| Amendments to IAS 8 *Accounting Polices, Changes in Accounting Estimates and Errors—Definition of Accounting Estimates* | The company has adopted the amendments to IAS 8 for the first time in the current year. The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted. |

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Significant accounting judgements and estimates**

**Estimates**
Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised and in any future years affected.

In applying the Group's accounting policies described above the Directors have identified that the following areas are the key estimates that could have a significant impact on the amounts recognised in the Financial Statements in the next financial year.

**Impairment of property, plant and equipment and right-of-use-assets**
The Group determines whether property, plant and equipment and right-of-use-assets are impaired when indicators of impairments exist or based on the annual impairment assessment. The annual assessment requires an estimate of the value in use of the CGUs to which the Property, plant and equipment are allocated, which is predominantly at the individual cinema site level.

Estimating the value in use requires the Group to make an estimate of the expected future cash flows from each cinema and discount these to their net present value.

The resulting calculation is sensitive to the assumptions in respect of future cash flows and the discount rate applied.

The Directors consider that the assumptions made represent their best estimate of the future cash flows generated by the CGUs and that the discount rates used are appropriate given the risks associated with the specific cash flows. A sensitivity analysis has been performed over the estimates (see Note 8).

Forecasting expected cash flows and selecting an appropriate discount rate inherently requires estimation. A sensitivity analysis has been performed over the estimates (see Note 8). The resulting calculation is sensitive to the assumptions in respect of future cash flows and the discount rate applied.

The Directors consider that the key assumptions made within the cash flow forecasts include admissions levels, average ticket price, concession spend per person, and discount rates. The Directors consider that the assumptions made represent their best estimate of the future cash flows generated by the CGUs, and that the discount rate used is appropriate given the risks associated with the specific cash flows. Based on the sensitivity analysis performed, there would be additional impairment, refer to Note 8 for full details.

Therefore, it is considered appropriate to disclose this as an area of significant estimation due to the size of the balance and the fact that it could change because of future events.

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## Notes to the financial statements *(continued)*

### 1. Accounting policies *(continued)*

**Judgements:**

**Climate Change Impact**
The Group considered the potential impact of climate change and concluded that, while it remains an emerging risk, the Group does consider that there could be an impact on its valuation of assets. Assumptions used in the impairment testing of assets include the forecast cost of future investment and changes to operational energy costs required to meet the Group's emissions targets, whilst maintaining current operating levels.

**Lease discount rate**
IFRS 16 requires that the discount rate applied in calculating the lease asset and liability represents the incremental borrowing rate at the date the lease is signed or modified. Leases are signed and amended over each year; the Group elects to apply an average discount rate over periods for which its cost of borrowing and credit rating are consistent. Given the judgement required around the date of the amendment and the uncertainty affecting incremental borrowing rates, using a rate covering the three months is appropriate.

**Lease modifications**
Judgement is required to determine when the terms of an amendment to an existing lease are formally agreed upon, which in some cases is considered to have occurred prior to the date of signing the agreement. The timing of the modification can affect the discount rate and the period in which it is reported. Management considers a modification to have been completed when it is reasonably certain to occur without any further changes to the agreed terms.

Management has determined that all renegotiated leases are treated as modifications under IFRS 16, and management has taken the judgement that all renegotiated leases met the criteria for amendment based on the changes to the cash flows, length, and conditions of the original leases.

The assessment is reviewed if a significant event or a significant change in circumstances occurs that affects this assessment and that is within the control of the lessee.

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## Notes to the financial statements *(continued)*

### 2. Revenue

Revenue can be broken down by product and service provided as follows:

| | **Year ended 31 December 2024** | Year ended 31 December 2023 |
|---|---|---|
| **Revenue by product and service provided** | **£** | £ |
| Box Office | **19,470,058** | 16,077,504 |
| Retail | **11,151,161** | 10,379,075 |
| Advertising | **1,852,993** | 2,949,177 |
| Membership | **4,290,323** | 4,297,856 |
| Theatre hire | **1,521,881** | 1,640,439 |
| Booking fee | **729,197** | 587,711 |
| Sponsorship Revenue | **406,450** | - |
| Box office and pay-per-view from distribution | **1,676,423** | 1,559,481 |
| Video on demand from distribution | **801,000** | 385,000 |
| Sale of physical copies | **35,504** | 51,113 |
| Other | **1,441,547** | 520,733 |
| **Total revenue** | **43,376,537** | 38,448,089 |
| **Timing of revenue recognition** | | |
| At a point in time | **39,086,214** | 34,150,233 |
| Over time | **4,290,323** | 4,297,856 |

Revenue recognised of £942,331 (2023: £1,221,610) was included within the opening contract liability balance.

All revenues are derived from activities in the United Kingdom.
The Group has operated in one business sector in both financial periods, being cinema operations.

**Redemption of tickets purchased by members**
Membership revenue relates to the purchase of multiple tickets in advance, which provides members with additional benefits such as offers and discounts. Revenue is recognised on a straight-line basis over 6 months on the basis that members, on average, take 6 months to redeem their tickets.

The Directors consider that the assumptions made represent their best estimate of the time taken to satisfy the performance obligations relating to the membership scheme. If all performance obligations were satisfied immediately, revenue in the year would be £942,331 higher. If performance obligations took 6 months to satisfy, membership revenue in the year would be £785,276 lower.

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## Notes to the financial statements *(continued)*

### 3. Loss before taxation

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| Loss before taxation is stated after charging / (crediting): | | |
| Depreciation of Property, plant and equipment and right-of-use-assets and amortisation of intangible assets | **3,438,330** | 3,148,927 |
| Gain on extinguishment of debts | **-** | (1,174,566) |
| Exceptional Item | **8,443,791** | |

Exceptional items relate to the write-off of historic property, plant and equipment balances where sufficient supporting documentation and asset-level substantiation could not be obtained. Following a detailed review of legacy fixed asset records, management determined that the carrying values of certain assets could not be supported.

Auditors' remuneration for 2024 was £150,000 (2023: £150,000). There were no fees paid to the Group's auditors, Cooper Parry Group Limited, and its associates for services other than the statutory audit of the Group.

### 4. Employees

Staff costs were as follows:

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| Wages and salaries | **14,734,478** | 14,041,889 |
| Social security costs | **1,139,951** | 974,437 |
| | **15,874,428** | 15,016,326 |

The average monthly number of employees, during the year was as follows:

| | Year ended 31 December 2024 Number | Year ended 31 December 2023 Number |
|---|---|---|
| Management | **99** | 99 |
| Operational | **596** | 561 |
| | **695** | 660 |

£11,663,918 (2023: £12,271,205) of staff costs are recognised in cost of sales and £4,210,511 (2023: £2,745,121) are recognised in administrative expenses.

### 5. Net finance costs

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| **Finance costs** | | |
| Lease liability interest | **3,042,473** | 2,420,000 |
| Foreign exchange differences | **27,767** | 10,227 |
| Other interest payable | **534,520** | 464,735 |
| | **3,604,760** | 2,894,963 |
| **Net finance costs** | **3,604,760** | 2,894,963 |

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## Notes to the financial statements *(continued)*

### 6. Tax on profit / (loss) for the year

| | **Year ended 31 December 2024** | Year ended 31 December 2023 |
|---|---|---|
| | **£** | £ |
| **Corporation tax** | | |
| Adjustments in respect of prior years | **-** | - |
| **Total current tax** | **-** | - |
| **Deferred tax** | | |
| Origination and reversal of temporary differences | **44,385** | 1,214,629 |
| Rate difference | **-** | 886 |
| Total deferred tax | **44,385** | 1,215,515 |
| **Total tax (credit) for the year** | **44,385** | 1,215,515 |

**Factors affecting tax (credit) for the year**
The tax assessed for the year is lower (2023 - lower) to the standard rate of corporation tax in the UK of 25.0% (2023 – 23.52%). The differences are explained below:

| | **Year ended 31 December 2024** | Year ended 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Loss before taxation | **(10,161,956)** | (2,197,107) |
| Loss before taxation multiplied by standard rate of corporation tax in the UK of 25.0% (2023: 23.52%) | **(2,540,489)** | (516,772) |
| **Effects of:** | | |
| Group relief | **1,623,934** | 1,870,391 |
| Income not deductible for tax purposes | **-** | (801,469) |
| Expenses not deductible for tax purposes | **319,532** | 129,877 |
| Movement in unrecognised deferred tax assets | **641,408** | 535,901 |
| Deferred tax rate impact | **-** | 886 |
| Adjustments in respect of prior years | **-** | (3,299) |
| **Total tax (credit) for the year** | **44,385** | 1,215,515 |

On 31 December 2024 the Group had unrecognised deferred tax assets relating to the following temporary differences:

- Tax loss - £ 13,083,096 (2023: £13,083,096)
- Property, Plant and Equipment - £ 4,543,515 (2023: £2,449,420)
- Deferred IFRS 16 transition losses - £289,168 (2023: £315,788)
- Capital losses - £178,331 (2023: £178,331)

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## Notes to the financial statements *(continued)*

### 7. Intangible assets

| | Distribution rights £ | **Total £** |
|---|---|---|
| **Cost** | | |
| **On 1 January 2023** | 3,525,118 | **3,525,118** |
| Additions | 593,106 | **593,106** |
| **On 31 December 2023** | 4,118,224 | **4,118,224** |
| Additions | - | - |
| **On 31 December 2024** | 4,118,224 | **4,118,224** |
| | | |
| **Accumulated amortisation** | | |
| On 1 January 2023 | 2,597,415 | **2,597,415** |
| Charge for the year | 460,807 | **460,807** |
| **On 31 December 2023** | 3,058,222 | **3,058,222** |
| Charge for the year | 402,057 | **402,057** |
| **On 31 December 2024** | 3,460,279 | **3,460,279** |
| | | |
| **Net book value** | | |
| **On 31 December 2024** | 657,945 | **657,945** |
| On 31 December 2023 | 1,060,002 | **1,060,002** |

**Impairment and impairment reversals**
The Group holds exclusive distribution rights to several films, which are recognised as intangible assets in line with the Group's accounting policy. Each film is considered a cash generating unit ("CGU").

The Group determines whether these assets are impaired when indicators of impairment exist or based on the annual impairment assessment. The annual assessment requires an estimate of the recoverable amount by reference to the value in use of those assets. Where the recoverable amount is less than the carrying value, an impairment charge to reduce the asset to the recoverable amount is recognised. In calculating the recoverable amount, reference was also made to the fair value less cost of disposal. It was concluded that the calculated value in use was greater than fair value less cost of disposal and therefore the recoverable amount was deemed to represent the value in use.

Estimating the value in use requires the Group to make an estimate of the expected future cash flows from its investment and discount these to net present value at a pre-tax discount rate.

These forecast cash flows are based on management's best estimates, considering revenue expectations for individual films along with market conditions.

No impairments of distribution rights were recognised in 2024 and 2023.

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## Notes to the financial statements *(continued)*

### 8. Property, plant, and equipment

| | Leasehold improvements £ | Freehold improvements | Plant and machinery £ | Fixtures and fittings £ | Assets under constructions £ | Total £ |
|---|---|---|---|---|---|---|
| ***Cost*** | | | | | | |
| On 1 January 2023 | 38,534,940 | 3,477,966 | 9,619,544 | 5,224,861 | 11,655,552 | 68,512,863 |
| Additions | - | - | - | 40,816 | 6,116,239 | 6,157,055 |
| Transfers | 10,266,761 | - | 442,367 | 2,032,828 | (12,760,882) | (18,926) |
| Disposals | (53,637) | - | - | - | (1,162) | (54,799) |
| On 31 December 2023 | 48,748,064 | 3,477,966 | 10,061,911 | 7,298,505 | 5,009,747 | 74,596,193 |
| Additions | 256,802 | - | 80,112 | - | 1,488,037 | 1,824,951 |
| Transfers | 4,933,443 | - | 516,368 | 591,576 | (6,497,784) | (456,397) |
| Disposals | (3,225,832) | - | (552,374) | (686,154) | - | (4,464,361) |
| Derecognition of legacy fixed assets (exceptional) | (29,470,210) | - | (8,606,170) | (4,008,445) | - | (42,084,825) |
| **On 31 December 2024** | **21,242,267** | **3,477,966** | **1,499,847** | **3,195,481** | **-** | **29,415,561** |
| ***Accumulated depreciation*** | | | | | | |
| On 1 January 2023 | 28,257,936 | 2,551,470 | 9,151,531 | 5,009,370 | - | 44,970,307 |
| Charge for the year | 1,381,837 | - | 172,814 | 300,168 | - | 1,854,819 |
| Impairment Reversals | 322,728 | - | - | - | - | 322,728 |
| Adjustments | (1,466,315) | - | - | - | - | (1,466,315) |
| On 31 December 2023 | 28,496,186 | 2,551,470 | 9,324,345 | 5,309,538 | - | 45,681,539 |
| Charge for the year | 1,526,348 | - | 217,018 | 366,132 | - | 2,109,498 |
| Impairment | (3,270,823) | - | (531,093) | (685,622) | - | (4,487,538) |
| Derecognition of legacy fixed assets (exceptional) | (21,150,118) | - | (8,474,818) | (4,009,216) | - | (33,634,153) |
| **On 31 December 2024** | **5,601,593** | **2,551,470** | **535,452** | **980,832** | **-** | **9,669,347** |
| ***Net book value*** | | | | | | |
| On 31 December 2023 | 20,251,878 | 926,496 | 737,566 | 1,988,967 | 5,009,747 | 28,914,654 |
| **On 31 December 2024** | **15,640,673** | **926,496** | **964,395** | **2,214,649** | **-** | **19,746,214** |

Assets under construction as of 31 December 2024 primarily relates to the construction of Picturehouse Epsom, a new cinema which opened to the public in June 2024.

Adjustments during the year follow a review of historic costs classified as assets under construction for projects that are no longer considered to be viable.

During the year, the Group completed a review of legacy property, plant and equipment balances relating to assets capitalised prior to 2016. Assets with a net book value of £8.5 million could not be substantiated through supporting documentation or physical verification and were derecognised in accordance with IAS 16. Further details of the resulting charge are included in the exceptional items in note 3.

**Impairment**

The Group determines whether these assets are impaired when indicators of impairment exist or based on the annual impairment assessment. The annual assessment requires an estimate of the value in use of the cinema CGUs to which the Group's property, plant and equipment and right-of-use-assets are allocated.

A CGU has been identified as an individual cinema operated by the Group.

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## Notes to the financial statements *(continued)*

### 8. Property, plant and equipment *(continued)*

Where the recoverable amount is less than the carrying amount, an impairment charge to reduce the assets down to the recoverable amount is recognised. The recoverable amount is determined as the higher of value in use or fair value less cost of disposal. The Group determines the recoverable amount with reference to its value in use. As of 31 December 2024, updates to forecasted future cash flows (prompted by the slower-than-expected recovery of post-pandemic cinema admission levels, and a subsequent re-assessment of short, medium and long-term cinema admission levels), combined with increases to discount rates, and the underperformance-of-certain sites, has led to further impairments of property, plant and equipment and right of use assets.

Based on the results of this impairment review, an impairment charge of £368,963 (2023: £396,440) was recognised to reduce the carrying value of the Company's property, plant and equipment and right-of-use-assets to recoverable amount.

In addition to impairment assessments, the Group also considers whether there are indicators that a previously recognised impairment may no longer exist or may have decreased. Under IFRS, a reversal of an impairment loss should only be recognised if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. As of 31 December 2024, the Group identified such indicators in relation to sites subject to a significant property lease amendment. When leases are amended, assets and liabilities are recalculated using the incremental borrowing rate applicable at the date of amendment. Incremental borrowing rates were higher for the period of the Group going through the Chapter 11 and therefore this recalculation can have the effect of reducing asset balances when the amendments are agreed. This can in turn lead to the reversal of prior period impairment losses.

Estimating the value in use requires the Group to make an estimate of the expected future cash flows from each CGU and discount these to their net present value at a pre-tax discount rate. A rate of 14.38% (2023: 15.73%) was used to discount the expected future cash flows. This was derived from externally benchmarked data.

The value in use is calculated using forecast cash flows (defined as the Adjusted EBITDA generated by each CGU), which are based on management's anticipated performance of the CGU over the term remaining on its lease.

Management has prepared individual cash flow forecasts for each CGU. These cash-flow forecasts applied specific growth assumptions to the key drivers within the cash flow. Key drivers included cinema admissions, average ticket price ("ATP"), spend per person ("SPP") and long-term growth rates of other revenue and cost streams.

The individual cash flow forecasts include the following:
- A five-year forecast covering the period from 1 January 2024 to 31 December 2028. When preparing this forecast, management has compared the underlying assumptions to both 2019 and 2022 actuals, with 2019 representing the last full financial year not impacted by the pandemic. On an aggregated basis, management does not expect cinema admission levels to exceed pre-pandemic levels between 2024 and 2027.

- The application of 1.0% long-term growth rate from 31 December 2028 onwards.

When assessing the resulting impairments, consideration was given as to whether the fair value less cost to sell of each CGU was higher than the calculated value-in-use. In all cases the fair value less cost to sell was found to be lower than the value-in-use.

***Sensitivity to changes in assumptions***

During these uncertain times, there are significant challenges in preparing forecasts necessary to estimate the recoverable amount of the CGU. Management determined that using an expected cash flow approach is the most effective means of reflecting the recoverable amount. This approach reflects all expectations about possible cash flows instead of the single expected outcome. The key assumptions applied within the models are as follows:

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## Notes to the financial statements *(continued)*

### 8. Property, plant and equipment *(continued)*

1. In calculating the CGU recoverable amount, management has applied cinema admission growth rates which are deemed to be highly sensitive to changing market dynamics and post-pandemic changes in consumer behaviour. The sensitised scenario assumes that this growth rate reduces by 5% and 10% per annum over the forecast period.
2. Discount rates are largely derived from market data, and these rates are intended to be long term in nature. However, the models are sensitive to changes in these rates. An increase and decrease by a factor of 1% has been applied in the sensitised scenarios.

The growth rates of ATP and SPP have also been reduced by 9% per annum over the forecast period in an additional sensitised scenario.

These sensitivities reflect realistic scenarios which management believe would have the most significant impact on the cash flows described above.

The sensitivities have been prepared on the basis that the reasonably possible change in each key assumption would not have a consequential impact on other assumptions used in the impairment review.

### 9. Inventories

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Finished goods and goods for resale | **328,296** | 329,353 |

Inventory recognised in cost of sales in the year amounted to £2,429,072 (2023: £3,413,939). No items of inventory are carried at fair value less cost to sell or were written down to fair value less costs to sell and recognised as an expense during the year (2024: £nil).

No items of inventory are pledged as security for liabilities.

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## Notes to the financial statements *(continued)*

### 10. Trade and other receivables

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Trade receivables | **2,288,828** | 1,626,007 |
| Other receivables | **25,960** | - |
| Amounts owed by Parent Group undertakings | **6,469,177** | 6,468,262 |
| Prepayments and accrued income | **1,953,045** | 1,736,747 |
| Expected credit loss provision | **(418,165)** | (253,988) |
| | **10,318,845** | 9,577,028 |

An expected credit loss provision of £418,165 (2023: £253,988) has been recognised, of which £63,604 (2023: £62,527) relates to trade and other receivables. The movement in this provision for the year is a increase of £164,177 (2023: £2,937,147 charge). This is recognised in the Consolidated statement of profit or loss.

The amounts owed by Parent Group undertakings are repayable at any point at the request of the borrower. No interest is charged on these balances.

### 11. Cash at bank and in hand

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Cash at bank and in hand | **5,354,700** | 2,363,545 |

### 12. Creditors

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Trade creditors | **3,704,386** | 3,309,241 |
| Other creditors | **1,818,010** | 1,189,165 |
| Amounts owed to Parent Group undertakings | **49,124,784** | 42,679,654 |
| Taxation and social security | **1,208,186** | 1,415,735 |
| Government grants | **196,197** | 196,197 |
| Accrued expenses | **3,752,163** | 5,566,285 |
| Deferred revenue | **2,266,343** | 2,334,724 |
| | **62,070,069** | 56,691,001 |

The amounts owed to Parent Group undertakings are non-interest bearing and repayable on demand.

Landlord contributions relate to funds received from landlords for the construction of new cinemas, which are not yet available for use at the balance sheet date. Any landlord contributions received prior to the asset being available for use, is recognised as a liability. When a new cinema has been constructed and is available for use, a right of use asset is recognised at this date and landlord contributions are deducted from the asset value. Landlord contributions are split between short and long term based on expected completion for the construction of new cinemas. See "Creditors: Amounts falling due after more than one year" section for long term landlord contributions.

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## Notes to the financial statements *(continued)*

*12.* **Creditors** *(continued)*

**Deferred revenue**

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Customer advances | **2,266,344** | 2,334,724 |
| Current | **2,266,344** | 2,334,724 |

Refer to Note 1 for further details of the items classified within deferred revenue and the timing of recognition of these items.

The following table shows how much revenue has been recognised in relation to carried-forward contract liabilities:

| | **31 December 2023** | 31 December 2022 |
|---|---|---|
| | **£** | £ |
| Revenue recognised which was included within the opening contract liability balance: | | |
| Contract liabilities – customer advances | **2,266,344** | 2,334,724 |

Movements on customer advances are due to the timing of receipt of cash and recognition of revenue in relation to the redemption of advanced tickets and vouchers sold.

**Creditors: Amounts falling due after more than one year**

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Government grants | **2,975,950** | 2,332,134 |
| Capital Contributions | **(4,283)** | - |
| | **2,971,667** | 2,332,134 |

Government grants relate primarily to the construction of a library in West Norwood in respect of which grant income was received in the year ended 2017 and is recognised on a straight-line basis over a 30-year period.

The balance at 31 December 2024 includes landlord contributions received during the year in respect of leasehold improvements, which are recognised as deferred income and released to profit or loss over the term of the related leases. The increase in the balance during the year primarily reflects the receipt of these landlord contributions.

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## Notes to the financial statements *(continued)*

### 13. Leases

The Consolidated statement of financial position shows the following amounts relating to leases:

| | Land and buildings £ | Other £ | Total £ |
|---|---|---|---|
| **Right-of-use assets** | | | |
| On 31 December 2022 | 13,031,105 | - | 13,031,105 |
| Additions | 5,592,998 | - | 5,592,998 |
| Lease modifications | (8,667,181) | - | (8,667,181) |
| Depreciation of right of use asset | (963,435) | - | (1,003,165) |
| Landlord Contributions | (2,402,631) | - | (2,402,631) |
| Impairment | (73,712) | - | (73,712) |
| Impairment Reversals | 310,137 | - | 310,137 |
| **31 December 2023** | **6,827,281** | **-** | **6,827,281** |
| Additions | - | - | - |
| Lease modifications | (79,496) | - | (79,496) |
| Landlord Contributions | (1,554,570) | - | (1,554,570) |
| Impairment | (8,300) | - | (8,300) |
| Impairment Reversals | - | - | - |
| Depreciation of right of use asset | (568,223) | 43,375 | (524,848) |
| **31 December 2024** | **4,616,692** | **43,375** | **4,660,067** |
| | | | |
| **Lease liabilities** | | | |
| | | | |
| 31 December 2023 | (22,886,971) | - | (22,886,971) |
| Disposals | 3,166,758 | - | 3,166,758 |
| Lease modifications | 28,869 | - | 28,869 |
| Finance costs related to lease liabilities | (3,042,473) | - | (3,042,473) |
| Repayment of lease liabilities (including interest) | 3,668,256 | - | 3,668,256 |
| **31 December 2024** | **(19,065,561)** | **-** | **(19,066,185)** |
| | | | |
| **Current** | **(675,242)** | **-** | **(675,242)** |
| **Non-current** | **(18,390,319)** | **-** | **(18,390,319)** |

Cash payments for leases during the year amounted to £3,668,256 (2023: £4,872,664), comprising repayments of lease liabilities of £3,042,473 and interest paid of £625,783, both of which are presented within financing activities in the consolidated statement of cash flows

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## Notes to the financial statements *(continued)*

### 13. Leases *(continued)*

The Consolidated statement of profit or loss shows the following amounts relating to leases:

| | 31 December 2024 £ | 31 December 2023 £ |
|---|---|---|
| **Depreciation charge of right-of-use assets** | | |
| Land and buildings | (568,223) | (963,434) |
| Other | 43,375 | (39,731) |
| Impairment charge of right-of-use assets | - | (73,712) |
| Impairment reversals of right-of-use assets | - | 7,190,378 |
| **Charge to operating profit** | **(524,848)** | **8,040,368** |
| Interest expense (included in finance costs) | (3,042,473) | (2,420,000) |
| **Charge to profit before taxation for leases** | **(3,567,321)** | **5,620,368** |

Commitments for leases classified as short-term on 31 December 2024 was £nil (2023: £nil). No leases contain a residual value guarantee clause.

Despite the scale and impact of the changes to leases during the period and the volatility in key inputs to their calculation and the potential materiality of their impact on the financial statements, the Group's significant judgements in respect of the matters set out below are unchanged. The Group's accounting policy with respect to leases is also unchanged.

**Modification and discount rates**
During the year, due to the negotiations held with landlords, seventeen leases have changed in substance from a consideration perspective. Thus, the modification treatment per IFRS 16 has been followed.

In line with the approach on transition to IFRS 16, the Company has used an incremental borrowing rate and made a corresponding adjustment to the right-of-use asset. The amendments did not result in the identification of a separate lease.

On transition, the asset specific incremental borrowing rate applied to each lease was determined by considering the risk-free rate, adjusted for factors such as the credit rating linked to the life of the underlying lease agreement. These rates are intended to be long term in nature and calculated on inception of each lease.
The incremental borrowing rate applied to property leases because of modifications in 2024 ranged from 7.7% to 16.7%. Prior to the modifications these ranged from 15.4% to 17.1%

The number and size of amendments made are such that judgements taken were significant. These judgements included the following:

- The discount rate applied. The Group elected to apply an average discount rate over periods with consistent relevant characteristics rather than applying the rate at the specific date of the amendment. Given the judgement required around the date of amendment and the uncertainty affecting incremental borrowing rates, using such a rate is appropriate.

- The date of the amendment. Judgement was required to determine when the terms of each amendment were formally agreed, which in some cases was considered to have occurred prior to the date of signing the agreement.

- All renegotiated leases were treated as modifications under IFRS 16. Management has taken the judgement that all renegotiated leases met the criteria for amendment based on the changes to the cash flows, and length and conditions of the original leases.

**Impairments and disposals**

In the current year 31 December 2024, the Group has not recognised any impairment charges.

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## Notes to the financial statements *(continued)*

### 13. Leases *(continued)*

During the year ended 31 December 2023, the Group recognised impairment charges of £0.1m on right-of-use assets and impairment reversals of £0.3m.

The sensitivity of impairments to key assumptions has been disclosed in note 8.

### 14. Deferred tax

The Group has recognised a deferred tax asset as follows:

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Accelerated capital allowances | - | 44,385 |
| Deferred transition loss | - | - |
| Loss carried forward | - | - |
| | - | 44,385 |

*Movement in deferred tax*

| | **1 January 2024** | **Recognised in income** | **31 December 2024** |
|---|---|---|---|
| | **£** | **£** | **£** |
| Tangible fixed assets | **44,385** | **(44,385)** | - |
| Deferred transition loss | - | - | - |
| Loss carried forward | - | - | - |
| | **44,385** | **(44,385)** | - |

| | 1 January 2023 | Recognised in income | 31 December 2023 |
|---|---|---|---|
| | £ | £ | £ |
| Tangible fixed assets | 718,963 | (674,578) | 44,485 |
| Deferred transition loss | 26,108 | (26,108) | - |
| Loss carried forward | 495,025 | (495,025) | - |
| | 1,240,096 | (1,195,711) | 44,385 |

### 15. Called up share capital

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| **Shares classified as equity allotted, called up and fully paid** | | |
| 7,850,000 Ordinary shares of £0.00002 each | **157** | 157 |
| (2023: 7,850,000 Ordinary shares) | | |

The Directors have not proposed any dividend payment for the financial year or up to the date of signing of this Annual report and financial statements.

The Group does not have a limited amount of authorised capital.

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## Notes to the financial statements *(continued)*

### 16. Financial Instruments

The following financial instruments by category were recognised in the financial statements. The Group does not recognise its financial assets and liabilities based on fair value except for the initial recognition.

**Financial assets held at amortised cost**

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Trade receivables | **2,288,828** | 1,626,007 |
| Other receivables | **(418,165)** | (253,988) |
| Amounts owed by Group undertakings | **6,469,177** | 6,468,262 |
| Prepayments and accrued income | **1,953,045** | 1,736,747 |
| Cash and cash equivalents | **5,354,700** | 2,363,545 |
| **Total financial assets** | **15,647,585** | 11,940,573 |

**Financial liabilities held at amortised cost**

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Trade creditors | **3,704,386** | 3,309,241 |
| Other creditors | **1,804,749** | 1,189,165 |
| Amounts owed to Parent Group undertakings | **49,124,784** | 42,679,654 |
| Salaries and taxes payable | **1,208,186** | 1,415,735 |
| Government grants | **3,172,147** | 2,528,331 |
| Accrued expenses | **3,752,163** | 5,566,285 |
| Deferred Income | **2,266,344** | 2,334,724 |
| Capital Contribution | **(4,283)** | - |
| Lease liabilities | **19,065,561** | 22,927,999 |
| **Total financial liabilities** | **84,094,037** | 81,951,134 |

There were no financial instruments held at fair value through profit or loss (2023: £nil).

**Financial risk management objectives**

The Parent Group's Corporate Treasury function provides coordinated access to domestic and international financial markets and monitors and manages the financial risks relating to the operation of the Parent Group, including the Group, through internal risk reports which analyses exposures by degree and magnitude of risks. These risks include liquidity risk, interest rate risk, foreign exchange risk, and credit risk.

***Foreign exchange risk***

The majority of the Group's receivables, payables, cash balances, and borrowings are denominated in pound sterling, and hence the Group is not subject to significant foreign exchange risk and thus fluctuation in foreign currencies does not have a material impact on the Group's financial statements.

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## Notes to the financial statements *(continued)*

### *16.* Financial Instruments *(continued)*

***Credit risk***

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligation. Management believes the credit risk on cash and cash equivalents is low because the counterparties are banks with high credit ratings.

Accounts receivable include trade and other receivables. Trade receivables are amounts billed to customers for the sale of services and represent the maximum exposure to credit risk of those financial assets, exclusive of the allowance for doubtful accounts. Normal credit terms for amounts due from customers call for payment within 30 to 60 days. Other receivables include amounts due from suppliers and landlords and other miscellaneous amounts. The Group's credit risk is primarily related to its trade receivables, as other receivables generally are recoverable through ongoing business relationships with the counterparties. Due to the nature of its receivables, the Group defines default about the specific nature of each contractual arrangement, given the nature and number of transactions involving credit risk, events of default are not considered to be high risk and are assessed on specific basis for each asset held at the reporting date.

The Group grants credit to customers in the normal course of business. The Group typically does not require collateral or other security from customers; however, credit evaluations are performed prior to the initial granting of credit when warranted and periodically thereafter. The Group records a reserve for estimated uncollectible amounts, which management believes reduces credit risk. See Note 1, for policy on Impairment of financial assets. The ageing profile of the Group's trade receivables is as follows:

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Within 60 days | **2,101,961** | 1,340,626 |
| Between 60 and 90 days | **58,371** | 47,985 |
| Over 90 days | **128,496** | 237,396 |
| Total trade receivables | **2,288,828** | **1,626,007** |

Standard credit terms granted to customers are between 30 to 60 days. The percentage of trade receivables past due date is 33% (2023: 34%). The percentage of trade receivables outstanding more than 90 days is 6% (2023: 18%).

***Interest rate risk***

The Group is not exposed to interest rate risk because the balances due to other group undertakings outstanding on 31 December 2024 are not interest bearing. The Group has immaterial balances of other borrowings.

**Liquidity risk management**

Liquidity risk is the risk the Group will not be able to meet its financial obligations as they fall due. Ultimate responsibility for liquidity risk management rests with the Directors, who have established an appropriate liquidity risk management framework for the management of the Group's short, medium, and long-term funding and liquidity management requirements, as far as possible. The Group manages liquidity risk by maintaining adequate reserves by continuously monitoring forecasts and actual cash flows, and by matching the maturity profiles of financial assets and liabilities. When the Group is unable to meet its liabilities as they fall due, the Group is then reliant on the Parent Group to provide support. For further information on the Parent Group's liquidity risk in the context of the Chapter 11 Cases, refer to the going concern disclosures in Note 1.

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## Notes to the financial statements *(continued)*

### 16. Financial instruments *(continued)*

**Liquidity and interest risk tables**

The following tables detail the Group's remaining contractual maturity for its financial liabilities with agreed repayment periods. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay.

| | Up to 1 year | Between 1 and 5 years | Over 5 years | Total |
|---|---|---|---|---|
| | £ | £ | £ | £ |
| **31 December 2024** | | | | |
| Trade creditors | 3,704,386 | - | - | 3,704,386 |
| Other creditors | 1,804,749 | - | - | 1,804,749 |
| Amounts owed to Group | 49,124,784 | | | 49,124,784 |
| Salaries and taxes payable | 1,208,186 | - | - | 1,208,186 |
| Government grants | 196,197 | 748,788 | 2,191,162 | 3,172,147 |
| Accrued expenses | 3,752,163 | - | - | 3,752,163 |
| Deferred income | 2,266,344 | - | - | 2,266,344 |
| Capital Contribution | (4,283) | - | - | (4,283) |
| Lease liabilities | 2,809,011 | 7,207,090 | 9,049,460 | 19,065,561 |
| | **64,861,534** | **7,991,878** | **11,240,622** | **84,094,035** |

| | Up to 1 year | Between 1 and 5 years | Over 5 years | Total |
|---|---|---|---|---|
| | £ | £ | £ | £ |
| **31 December 2023** | | | | |
| Trade creditors | 3,309,241 | - | - | 3,309,241 |
| Other creditors | 1,188,167 | - | - | 1,188,167 |
| Amounts owed to Group | 42,679,654 | | | 42,679,654 |
| Salaries and taxes payable | 1,415,735 | - | - | 1,415,735 |
| Government grants | 196,197 | 784,788 | 1,547,346 | 2,528,331 |
| Accrued expenses | 5,566,285 | - | - | 5,566,285 |
| Deferred income | 2,334,724 | - | - | 2,334,724 |
| Lease liabilities | 2,976,336 | 10,708,628 | 27,685,761 | 41,370,725 |
| | **59,666,339** | **11,493,416** | **29,233,107** | **100,392,862** |

***Capital risk management***

The Group manages its capital to ensure that entities in the Group will be able to continue as a going concern while maximising the return to shareholders. The capital structure of the Group consists of net debt and equity of the Group (comprising issued capital and retained earnings).

The Group manages its capital by increasing/decreasing its debt and/or equity as needed and by adjusting the amount of dividends paid to shareholders.

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## Notes to the financial statements *(continued)*

### 17. Related party transactions

Transactions between the Group and its subsidiaries, which are related parties, have been eliminated on consolidation.

Transactions between the Group and other members of the Cineworld Group plc Group are as follows:

| | Sale of goods & services 2024 £ | Purchase of goods & services 2024 £ | Interest received 2024 £ | Amounts owed by related parties 2024 £ | Amounts owed to related parties 2024 £ |
|---|---|---|---|---|---|
| Adelphi-Carlton Limited | - | - | - | | 2,961,529 |
| Classic Cinemas Limited | - | - | - | 88,154 | |
| Cineworld Cinemas Limited | - | - | - | | 38,557,142 |
| Cineworld Group plc | - | - | - | | 14,714 |
| Cine-UK Limited | - | - | - | | 1,269,809 |
| Cinema City Cinemas sp. Zoo | - | - | - | | 700,707 |
| Crown UK Holdco Limited | - | - | - | 3,331,303 | |
| Cineworld Holdings Limited | - | - | - | | 1,420,000 |
| Regal Cinemas Inc | - | - | - | | 4,200,883 |
| Bromley Cinema 2 Limited | - | - | - | 3,049,720 | |
| **On 31 December 2024** | **-** | **-** | **-** | **6,469,177** | **49,124,784** |

| | Sale of goods & services 2024 £ | Purchase of goods & services 2024 £ | Interest received 2024 £ | Amounts owed by related parties 2024 £ | Amounts owed to related parties 2024 £ |
|---|---|---|---|---|---|
| Adelphi-Carlton Limited | - | - | - | - | 415,580 |
| Classic Cinemas Limited | - | - | - | 88,154 | - |
| Cineworld Cinemas Limited | 45,633 | - | - | - | 39,183,743 |
| Cineworld Group plc | - | - | - | - | 14,714 |
| Cine-UK Limited | - | - | - | - | 1,224,070 |
| Cinema City Cinemas sp. Zoo | - | 66,100 | - | - | 280,861 |
| Crown UK Holdco Limited | - | - | - | 3,319,305 | - |
| Cineworld Holdings Limited | - | - | - | - | 1,420,000 |
| Regal Cinemas Inc | - | - | - | - | 140,686 |
| Bromley Cinema 2 Limited | - | - | - | 3,060,803 | - |
| **On 31 December 2023** | 45,633 | 66,100 | - | 6,468,262 | 42,679,654 |

During the year, the net amounts owed to related parties increased by £3.7m due to additional financing requirements to meet the Group's commitment to build and open two cinemas during the year.

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## Notes to the financial statements *(continued)*

### 18. Remuneration of key personnel

The remuneration of the directors and key management, who are the key management personnel of the Group, is set out below.

| | 2024 | 2023 |
|---|---|---|
| | £ | £ |
| Wages and salaries | **138,509** | 131,913 |
| Short term benefits | **28,913** | 24,944 |
| Post-employment benefit | **14,277** | 13,191 |
| Total remuneration of key personnel | **181,699** | 170,048 |

### 19. Director's emoluments

One Director received emoluments of £181,699 (2023: £170,048) from the Company, which is in respect of services rendered to the Group.

The remuneration of two Directors are paid by Cineworld Cinemas Limited, which makes no recharge to the company. They are a director of Cineworld Cinemas Limited and several fellow subsidiaries, and it is not possible to make an accurate apportionment of their remuneration in respect of each of the subsidiaries. Accordingly, the above details include no remuneration in respect of this Director. His total remuneration is included in the aggregate of Directors' remuneration disclosed in the financial statements of Cineworld Cinemas Limited.

### 20. Ultimate parent company

As at the balance sheet date, the Company's immediate parent is Cineworld Cinemas Holdings Limited, a Company incorporated in England and Wales. The Company's ultimate parent undertaking is Cineworld Parent Limited (previously, the ultimate parent was Cineworld Group plc) a company incorporated in the Cayman Islands. The smallest and largest Group in which the results of the Company are consolidated is that headed by Cineworld Parent Limited. Copies of the financial statements are available at Companies House and can be obtained from 8th Floor Vantage London, Great West Road, Brentford, United Kingdom, TW8 9AG.

### 21. Commitments and contingencies

#### Contingent liability

The Company has been involved in litigation with the landlord of the Trocadero site (Picturehouse Central) in relation to forfeiture claims during the Chapter 11 process in the US, in addition to insurance-related charges claimed under the lease by the landlord.

The Company disputes the landlord's claims and no liability is admitted. Based on external legal advice received, the directors consider that the Company has strong grounds in respect of the matters currently in dispute and, accordingly, no provision has been recognised in these financial statements.

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## Notes to the financial statements (*continued*)

### 21. Commitments and contingencies (*continued*)

**Contingent asset**
The Company has also brought a countersuit in connection with the same matter. A favourable judgment was obtained in respect of certain elements of the countersuit during the current financial period; however, this judgment is subject to appeal and therefore the outcome is not yet considered virtually certain.

Based on external legal advice, the directors consider that it is possible that economic benefits may flow to the Company as a result of this matter. However, given the ongoing appeal process and the inherent uncertainty of the final outcome, no asset has been recognised in these financial statements. The potential benefit has instead been disclosed as a contingent asset.

### 22. Post balance sheet events

There were no post balance sheet events in 2025, as the company neither closed any cinemas nor had plans to open new locations.

On July 1, 2025, Crown Finance US, Inc successfully repriced its $1.9 billion Term Loan, reducing the interest spread from SOFR + 5.25% to SOFR + 4.50%, resulting in a 75 basis point savings.
On April 21, 2025, Crown Finance US, Inc entered into a three-year interest rate swap agreement to fix the interest rate on approximately half of its term loan debt. The swap terminates on May 5, 2028.

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## Company Balance Sheet
***At 31 December 2024***

| | Note | 31 December 2024 £ | 31 December 2023 £ |
|---|---|---|---|
| **Fixed assets** | | | |
| Property, plant and equipment | *29* | **19,112,177** | 27,515,762 |
| Investments | *30* | **1,883,080** | 1,883,080 |
| Right-of-use asset | *35* | **4,552,649** | 6,705,801 |
| **Total non-current assets** | | **25,547,906** | 36,104,643 |
| **Current assets** | | | |
| Inventories | *31* | **244,335** | 243,197 |
| Trade and other receivables | *32* | **22,290,925** | 23,486,771 |
| Cash at bank and in hand | *33* | **4,863,520** | 1,840,162 |
| **Total current assets** | | **27,398,779** | 25,570,130 |
| **Current liabilities** | | | |
| Creditors | *34* | **(71,869,059)** | (66,348,915) |
| Lease liabilities | *35* | **(704,799)** | (685,232) |
| **Total current liabilities** | | **(72,573,858)** | (67,034,147) |
| **Net current assets/(liabilities)** | | **(45,175,079)** | (41,464,017) |
| **Total assets less current liabilities** | | **(19,627,172)** | (5,359,374) |
| **Non-current liabilities** | | | |
| Creditors: amounts falling due after more than one year | *34* | **(2,975,950)** | (2,401,708) |
| Lease liabilities | *35* | **(18,390,319)** | (22,214,754) |
| | | **(21,366,269)** | (24,616,462) |
| **Net liabilities** | | **(40,993,440)** | (29,975,836) |
| **Capital and reserves** | | | |
| Called up share capital | *37* | **157** | 157 |
| Share premium account | | **180,652** | 180,652 |
| Capital reserves | | **8,953,508** | 8,953,508 |
| Other reserves | | **200,000** | 200,000 |
| Accumulated losses | | **(50,327,757)** | (39,310,153) |
| **Total shareholders' deficit** | | **(40,993,440)** | (29,975,836) |

The Company generated a loss of £11,017,604 (2023: £2,055,181 profit) during the current financial year.

The notes from pages 53 to 71 form part of these financial statements.

The financial statements on pages 51 to 71 were approved by the board of Directors on 04 March 2026 and were signed on its behalf by:

Signed by:
James Horton
C13179930A4D4E5...

**J Horton**
Director
Registered number: 02310403

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## Company Statement of Changes in Equity
***for the year ended 31 December 2024***

| | Share capital | Share premium | Capital reserves | Other reserves | Accumulated losses | Total equity |
|---|---|---|---|---|---|---|
| | £ | £ | £ | £ | £ | £ |
| On 1 January 2023 | 157 | 180,652 | 8,953,508 | 200,000 | (41,365,334) | (32,031,017) |
| ***Comprehensive gain/(loss) for the financial year*** | | | | | | |
| Gain/(loss) for the year | - | - | - | - | 2,055,181 | 2,055,181 |
| Total comprehensive gain/(loss) for the financial year | - | - | - | - | **2,055,181** | **2,055,181** |
| **On 31 December 2023** | **157** | **180,652** | **8,953,508** | **200,000** | **(39,310,153)** | **(29,975,836)** |
| ***Comprehensive gain/(loss) for the financial year*** | | | | | | |
| Gain/(loss) for the year | - | - | - | - | (11,017,604) | (11,017,604) |
| **Total comprehensive gain/(loss) for the financial year** | - | - | - | - | **(11,017,604)** | **(11,017,604)** |
| **On 31 December 2024** | **157** | **180,652** | **8,953,508** | **200,000** | **(50,327,757)** | **(40,993,440)** |

The notes on pages 54 to 72 form part of these financial statements.

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## Notes to the company financial statements

### 23. Accounting policies

**General information**

Picturehouse Cinemas Limited is a private limited company limited by shares incorporated and domiciled in the UK. The Company's registered address is 8th Floor Vantage London, Great West Road, United Kingdom, TW8 9AG.

**Basis of preparation**

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101"), applying the historical cost convention. The Company applies UK-adopted International Accounting Standards in its financial statements.

In preparing these financial statements, the Company applies the recognition, measurement, and disclosure requirements of International Financial Reporting Standards ("IFRSs") but makes amendments where necessary to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions have been taken. The Company has elected to take the exemption under section 408 of the Companies Act 2006 from presenting the parent company profit or loss account.

The Company's ultimate parent is Cineworld Parent Limited. It is included in the consolidated financial statements of Cineworld Parent Limited, which are publicly available. The group accounts of Cineworld Parent Limited are available to the public and can be obtained from Companies House, refer to note 41 for further information.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following:

- Paragraph 38 of IAS 1, 'Presentation of financial statements' – comparative information requirements in respect of:
    - i. Paragraph 79(a)(iv) of IAS 1;
    - ii. Paragraph 73(e) of IAS 16, 'Property, plant and equipment';
    - iii. Paragraph 118(e) of IAS 38 Intangible Assets
- IFRS 7, 'Financial instruments: Disclosures'.
- Paragraphs 91 to 99 of IFRS 13, 'Fair value measurement' (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities).
- The following paragraphs of IAS 1, 'Presentation of financial statements':
    - 10(d) (statement of cash flows);
    - 16 (statement of compliance with all IFRS);
    - 38A (requirement for minimum of two primary statements, including cash flow statements);
    - 38B–D (additional comparative information);
    - 111 (statement of cash flows information); and
    - 134–136 (capital management disclosures).
- IAS 7, 'Statement of cash flows'.
- Paragraphs 30 and 31 of IAS 8, 'Accounting policies, changes in accounting estimates and errors' (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective).
- Paragraphs 17 and 18(a) of IAS 24, Related party disclosures' (key management compensation).

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

- The requirements of the second sentence of paragraph 110 and paragraphs 113(a), 114, 115, 118, 119(a) to (c), 120 to 127 and 129 of IFRS 15 Revenue from Contracts with Customers.
- The following paragraphs of IAS 1, 'Presentation of financial statements':
  - 10(f) (a statement of financial position as at the beginning of the preceding period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements); and
  - 40A–D (requirements for a third statement of financial position).

**Presentational currency**
The financial results of the Company are presented in Pound Sterling rounded to the nearest £.

**Going concern**
The Directors of the Company have prepared the financial statements on a going concern basis which assumes the Company will be able to meet its future obligations as they fall due, and the Company will settle all payments within the agreed terms. Refer to the Going Concern disclosure in Note 1 of the Group financial statements.

**Material accounting policy information**
The accounting policies set out below have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

**Property, plant and equipment**
Property, plant and equipment are stated at deemed cost less accumulated depreciation and accumulated impairment losses.

Depreciation is provided by the Company to write off the cost less the estimated residual value of Property, plant and equipment by equal instalments over their estimated useful economic lives as follows:

| | |
|---|---|
| Leasehold improvements | 30 years or life of lease if shorter |
| Plant and machinery | 3 to 10 years |
| Motor vehicles | 3 years |
| Fixtures and fittings | 4 to 10 years |

Assets acquired for use in cinemas are depreciated from the date the cinema is available for use. Cinema properties during construction are separately identified as a component of tangible fixed assets and are not depreciated until the cinema is ready for use.

**Investments**
Investments in subsidiary undertakings are stated at cost less provision for any impairment in value.

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

**Impairment of fixed assets**
The carrying amounts of the Company's assets are reviewed at each Balance Sheet date to determine whether there is any indication of impairment. If any such indication exists, the assets recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its cash-generating-unit ('CGU') exceeds its recoverable amount. Impairment losses are recognised in the Statement of comprehensive income.

Impairment tests in respect of property, plant and equipment and right-of-use assets are based on cash flows for individual sites.

Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to CGUs and then to reduce the carrying amount of the other intangible assets in the unit on a pro-rata basis. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

The Company evaluates its fixed assets for financial impairment where events or circumstances indicate that the carrying amount of such assets may not be fully recoverable. When such evaluations indicate that the carrying value of an asset exceeds its recoverable value, an impairment in value is recorded.

**Calculation of recoverable amount**
The recoverable amount is the greater of the asset's fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs.

**Reversals of impairment**
An impairment loss is reversed when there is an indication that the impairment loss may no longer exist because of a change in the estimates used to determine the recoverable amount, including a change in fair value less costs to sell.
An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

**Inventories**
Inventories are stated at the lower of cost and net realisable value. The cost of inventories is based on the First-In, first-Out ("FIFO") principle. Cost comprises expenditure incurred in acquiring the inventories and bringing them to their existing location and condition, and net realisable value is the estimated selling price in the ordinary course of business, less the estimated selling costs.

**Taxation**
Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the Statement of comprehensive income except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustments to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: the initial recognition of goodwill; the initial recognition of assets and liabilities that affect neither accounting nor taxable profit other than in a business combination, and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using rates enacted or substantively enacted at the balance sheet date. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available which the asset can be utilised.

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

**Cash and cash equivalents**
Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents.

**Government Grants**
Government grants relating to the subsidy of assets are recognised initially as deferred income at fair value when there is reasonable assurance that they will be received, and the Company will comply with the conditions associated with the grant. They are then recognised in the Statement of Comprehensive Income as other income on a systematic basis over the useful life of the asset to which they relate.

Government grants relating to the subsidy of costs are deferred and recognised in the Statement of comprehensive income over the period necessary to match them with the costs that they are intended to compensate.

**Leases**
The Company's leases predominantly relate to property leases for each cinema site; however, the Company's lease portfolio also includes other assets such as motor vehicles. Rental contracts are typically made for fixed periods of on average 25 years but may have extension options. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company in the Company Balance Sheet. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to the Statement of comprehensive income over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The depreciation charge recognised on the right-of-use assets is being charged to administration expenses in the Statement of comprehensive income, in-line with where depreciation has previously been recorded.

Liabilities arising from leases are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and,
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the lessee's incremental borrowing rate being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

To determine the incremental borrowing rate, the Company:

- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Company, which does not have recent third-party financing; and
- makes adjustments specific to the lease conditions.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received; and
- any initial direct costs.

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## Notes to the financial statements *(continued)*

### 23. Accounting Policies *(continued)*

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in the Statement of comprehensive income. Short-term leases are leases with a lease term of 12 months or less or leases on adoption date which has a lease term of 12 months or less. Low-value assets comprise IT-equipment and small items of office and cinema equipment.

The Company is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

**Sub-leases**
The Company applies IFRS 16 to all leases of right of use assets in sub-leases. The Company classifies the sub-lease as a finance lease or an operating lease with reference to the right of use asset arising from the head lease. The Company treats the right of use asset as the underlying asset in the sub-lease, not the item of property, plant and equipment that it leases from the head lessor. For sub leases classified as operating leases, rental income will continue to be recognised in the Statement of comprehensive income in the period to which it relates.

For sub leases classified as finance leases, the Company will recognise an asset classified as net investment in a sub-lease. The Company uses the discount rate it uses for the head lease, adjusted for any initial direct costs associated with the sub-lease to account for the sub-lease.

**Lease modifications**
Where lease contracts are amended resulting in extensions to the minimum lease term or increases to the overall consideration under the lease, they are treated as modifications under IFRS 16.

**Landlord contributions**
Where the Company receives contributions and incentives from landlords at the start of the lease, these are recorded against the right-of-use asset. Where landlord contributions are received before the start of the lease, this is recognised on the balance sheet as a liability until the lease has started.

**Variable lease payments**
Some property leases contain variable payment terms that are linked to sales generated from a particular cinema site. For individual sites, up to 3% of lease payments are based on variable payment terms of 2% of sales. Variable payment terms are used for a variety of reasons, including minimising the fixed costs base for newly established sites. Variable lease payments that depend on sales are recognised in cost of sales within the Consolidated statement of profit or loss in the period in which the condition that triggers those payments occurs.

**Financial instruments**
Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the financial instrument. Financial assets are de-recognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all risks and rewards of ownership.

Financial liabilities are de-recognised when the contractual obligations are discharged, cancelled or expire.

Financial assets and financial liabilities are offset, and the net amount is reported in the Balance Sheet, when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the financial asset and settle the financial liability simultaneously.

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

IFRS 9 contains three classification categories for financial assets and liabilities: measured at amortised cost, fair value through profit or loss ("FVPL") and fair value through other comprehensive income ('FVOCI'). At initial recognition, the Company classifies its financial instruments in the following categories depending on the purpose for which the financial instruments were acquired:

**Financial assets and liabilities at amortised cost:**
The Company's financial assets at amortised cost comprise trade receivables and are included in current assets due to their short-term nature. Financial assets at amortised cost are initially recognised at the amount expected to be received, less, when material, a discount to reduce the financial assets at amortised cost to fair value. Subsequently, financial assets at amortised cost are measured at amortised cost using the effective interest method, less a loss allowance.

Financial liabilities at amortised cost include trade and other payables. Trade payables are initially recognised at the amount required to be paid, less, when material, a discount to reduce the payables to fair value. Subsequently, trade payables are measured at amortised cost using the effective interest method. Financial liabilities are classified as current liabilities if payment is due within 12 months. Otherwise, they are presented as noncurrent liabilities.

**Impairment of financial assets**
The Company measures expected credit losses using the following bases for all current trade and other receivables and amounts receivable from group undertakings.

Loss allowances will be measured on either of the following bases:
i. 12-month expected credit losses ('ECLs') are the ECLs that result from possible default events within 12 months after the reporting date; and

ii. lifetime ECLs which are ECLs that result from all possible default events over the expected life of a financial instrument.

The expected loss rates are based on the historical payment profiles of sales during the financial year and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

The Company has identified historical losses measured against receivables to be the most relevant factors and accordingly adjusts the historical loss rates based on expected changes in these factors.

All amounts due from Parent Group undertakings are repayable on demand and the nature of these receivables is considered within the expected credit loss calculation.

The expected credit losses are calculated using the 3-stage general impairment model as follows:

- probability of default – the likelihood that the borrower would not be able to repay in the very short payment period;
- loss given default – the loss that occurs if the borrower is unable to repay in that very short payment period; and
- exposure at default - the outstanding balance at the reporting date.

The probability of default is based on an external assessment of the Group's weighted corporate default rate which is a function of the Group's external credit rating.

**Intra-group financial instruments**
Where the Company/Group enters financial guaranteed contracts to guarantee the indebtedness of other companies within its group, the Company/Group considers these to be insurance arrangements and accounts for them as such. In this respect, the Company/Group treats the guaranteed contract as a contingent liability until such time as it becomes probable that the Company will be required to make a payment under the guarantee. Guarantees during the year have been mentioned in note 42.

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

**Revenue**

Revenue represents the total amount receivable for goods sold and services provided, excluding sales-related taxes and intra-group transactions. All the Company's revenue is received from the sale of goods and services. The Company disaggregates revenue into five material revenue streams which are made up of the following:

**Box office revenue**

- Box office revenue is recognised on the date of the showing of the film it relates to.

**Retail revenue**

- Concessions revenue includes the sale of food and drink in the cinemas. All concession revenue is recognised at the point of sale.
- The Company records proceed from the sale of gift cards and other advanced bulk tickets in deferred revenue and recognises admissions or retail revenue when redeemed. Dependent on the revenue stream the gift card is redeemed against, revenue will either be recorded within box office revenue or retail revenue.

**Advertising revenue**

- Advertising revenue is recognised at the point the advertisement is shown in cinemas, or the related impressions are delivered.

**Membership revenue**

- Membership revenue relates to the purchase of a specific number of tickets along with exclusive offers. Revenue is recognised over a 6-month period on a straight-line basis, being the expected time taken for members to redeem their tickets.

**Theatre hire**

- The Company allows for the hire of cinema rooms for private events. This revenue is recognised at the point when the event occurs.

**Sponsorship revenue**

- Sponsorship revenue is generally recognised when the agreed-upon benefits have been delivered to the sponsor. If the sponsorship covers a specific event or campaign, revenue is recognised at the time the event occurs or the campaign runs

**Management fee revenue**

- Management fee revenue for the period is allocated and recognised for the operations of cinemas for which trading activities are recognised in the Company's subsidiaries (see note 31).

**Other revenue**

Other revenue includes the following:

- The Company receives rebates primarily from concession vendors. The rebates are either a fixed amount or a specified percentage based on the total purchases made from the vendor. The rebates are subject to some estimation uncertainty, but the arrangements are not complex. Rebates are calculated and accrued monthly based on the volume of purchases.
- These rebates are either recognised as other revenues, a reduction of cost of goods sold, or a combination of the two, depending on the nature of the services provided. For arrangements where the Company is providing various forms of in theatre, lobby or website advertising in exchange for the rebate, such rebates are accounted for as a component of other revenues. For arrangements under which the Company provides no material form of advertising such rebates are accounted for as a reduction of cost of goods sold.

**Deferred revenue**

Deferred revenue primarily consists of the following:

- Unredeemed gift cards and bulk tickets: Revenue is initially recognised in deferred revenue and subsequently recognised in revenue in proportion to the pattern exercised by the customer.
- Revenue received in advance for advertising contracts.

**Cost of sales and administrative expenses**

Cost of sales represents direct costs incurred associated with the generation of revenue as part of the cinema trading activities. Administrative expenses include all other costs incurred, including depreciation, repairs and maintenance, rent and rates, cleaning and other similar costs.

**Net financing costs**

Net financing costs comprise interest payable and receivable from both external and internal borrowings, interest expense on lease liabilities and foreign exchange gains and losses.

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

**Material accounting policy information**

**Estimates**
Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised and in any future years affected.

In applying the Company's accounting policies described above the Directors have identified that the following areas are the key estimates that could have a significant impact on the amounts recognised in the Financial Statements in the next financial year.

**Impairment of property, plant and equipment, and right-of-use-assets**
The Company determines whether property, plant and equipment and right-of-use assets are impaired when indicators of impairments exist or based on the annual impairment assessment. The annual assessment requires an estimate of the value in use of the CGUs to which the Property, plant, and equipment are allocated, which is predominantly at the individual cinema site level.

Estimating the value in use requires the Company to make an estimate of the expected future cash flows from each cinema and discount these to their net present value.

The resulting calculation is sensitive to the assumptions in respect of future cash flows and the discount rate applied.

The Directors consider that the assumptions made represent their best estimate of the future cash flows generated by the CGUs and that the discount rates used are appropriate given the risks associated with the specific cash flows. A sensitivity analysis has been performed over the estimates (see Note 30).

Forecasting expected cash flows and selecting an appropriate discount rate inherently requires estimation. A sensitivity analysis has been performed over the estimates (see Note 30). The resulting calculation is sensitive to the assumptions in respect of future cash flows and the discount rate applied.

The Directors consider that the key assumptions made within the cash flow forecasts include admissions levels, average ticket price, concession spend per person, and discount rates. The Directors consider that the assumptions made represent their best estimate of the future cash flows generated by the CGUs, and that the discount rate used is appropriate given the risks associated with the specific cash flows. Based on the sensitivity analysis performed, there would be additional impairment, refer to Note 30 for full details.

Therefore, it is considered appropriate to disclose this as an area of significant estimation due to the size of the balance and the fact that it could change because of future events.

**Impairment of financial assets**
As described further in Note 1, the Company measures expected credit losses using a three-stage approach for all amounts owing from Group undertakings. This involves significant estimation regarding both the probability of default and the subsequent loss to the Company. It also involves forming views with respect to expected future movements in credit ratings over the expected life of each receivable. Refer to Note 7 for an explanation of the key changes in the expected credit loss allowance between the beginning and the end of the year and sensitivity analysis to key assumptions.

**Judgements:**

**Climate Change Impact**
The Company considered the potential impact of climate change and concluded that, while it remains an emerging risk, the Company does consider that there could be an impact on its valuation of goodwill. Assumptions used in the impairment testing of goodwill include the forecast cost of future investment and changes to operational energy costs required to meet the Company's emissions targets, whilst maintaining current operating levels.

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## Notes to the financial statements *(continued)*

### 23. Accounting policies *(continued)*

**Lease discount rate**
IFRS 16 requires that the discount rate applied in calculating the lease asset and liability represents the incremental borrowing rate at the date the lease is signed or modified. Leases are signed and amended over the course of each year; the Company elects to apply an average discount rate over periods for which its cost of borrowing and credit rating are consistent. Given the judgement required around the date of amendment and the uncertainty affecting incremental borrowing rates, using a rate covering the three-month period is appropriate.

**Lease modifications**
Judgement is required to determine when the terms of an amendment to an existing lease is formally agreed, which in some cases is considered to have occurred prior to the date of signing the agreement. The timing of the modification can affect the discount rate and the period in which it is reported. Management considers a modification to have been completed when it is reasonably certain to occur without any further changes to agreed terms.

Management has determined that all renegotiated leases are treated as modifications under IFRS 16, and management has taken the judgement that all renegotiated leases met the criteria for amendment based on the changes to the cash flows, length and conditions of the original leases.

The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

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## Notes to the financial statements *(continued)*

### 24. Revenue

Revenue can be broken down by product and service provided as follows:

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| **Revenue by product and service provided** | | |
| Box Office | **15,252,507** | 12,193,603 |
| Retail | **8,011,935** | 7,226,673 |
| Advertising | **1,413,296** | 2,339,474 |
| Membership | **3,071,847** | 2,963,703 |
| Sponsorship Income | **406,450** | - |
| Theatre hire | **1,247,254** | 1,370,955 |
| Other | **1,671,308** | 217,019 |
| Total revenue | **31,074,597** | 26,311,427 |
| | | |
| **Timing of revenue recognition** | **28,002,750** | 23,347,724 |
| At a point in time | **3,071,847** | 2,963,703 |
| Over time | | |

All revenues are derived from activities in the United Kingdom.

The Company has operated in one business sector in both financial periods, being cinema operations.

**Redemption of tickets purchased by members**
Membership revenue relates to the purchase of multiple tickets in advance, which provides members with additional benefits such as offers and discounts. Revenue is recognised on a straight-line basis over 6 months on the basis that members, on average, take 6 months to redeem their tickets.

The Directors consider that the assumptions made represent their best estimate of the time taken to satisfy the performance obligations relating to the membership scheme. If all performance obligations were satisfied immediately, revenue in the year would be £889,022 higher. If performance obligations took 12 months to satisfy, membership revenue in the year would be £177,804 lower.

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## Notes to the financial statements *(continued)*

### 25. Profit / (loss) before taxation

| | Year ended 31 December 2024 | Year ended 31 December 2023 |
|---|---|---|
| | £ | £ |
| Profit / (loss) before taxation is stated after charging/(crediting): | | |
| Re-organisation cost | **193,654** | 3,974 |
| Depreciation of property, plant and equipment and right-of-use-assets | **2,537,161** | 2,531,823 |
| Impairment Reversals | **6,554** | |
| Fixed asset impairment | **368,963** | 396,440 |
| Impairment on financial and contract assets | **63,604** | (9,012,758) |
| Other operating income | **(100,250)** | (194,156) |
| Rates and insurance | **1,446,458** | 1,628,580 |
| Repairs and maintenance | **804,999** | 1,110,005 |

During the year, the company derecognised certain legacy items of property, plant and equipment with a net book value of £7.8m. These assets primarily relate to items capitalised in periods prior to 2016 where sufficient supporting records are no longer available to evidence their continued existence or future economic benefit. This derecognition does not represent an impairment charge under IAS 36 and has therefore not been included within the fixed asset impairment line above. Given its size and non-recurring nature, the derecognition has been presented as an exceptional item in the consolidated statement of profit or loss and is disclosed separately in Note 29.

Auditors' remuneration for 2024 was £149,000 (2023: £150,000). There were no fees paid to the Company's auditors, Cooper Perry Group Limited, and its associates for services other than the statutory audit of the Company.

### 26. Employees

Staff costs were as follows:

| | Year ended 31 December 2024 | Year ended 31 December 2023 |
|---|---|---|
| | £ | £ |
| Wages and salaries | **10,947,454** | 10,360,254 |
| Social security costs | **875,800** | 740,621 |
| | **11,823,254** | 11,100,875 |

The average monthly number of employees, during the year was as follows:

| | Year ended 31 December 2024 | Year ended 31 December 2023 |
|---|---|---|
| | No. | No. |
| Management | **87** | 81 |
| Operational | **424** | 397 |
| | **511** | 478 |

£8,339,948 (2023: £7,737,982) of staff costs are recognised in cost of sales and £3,483,306 (2023: £3,362,893) are recognised in administrative expenses. The wages and salaries of employees who are employed by Picturehouse Cinemas Limited and work at sites operated by another company in the Group are recharged to the company in which that site is operated and therefore not included above. Employee numbers are presented on a consistent basis.

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## Notes to the financial statements *(continued)*

### 27. Net finance costs

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| **Finance income** | | |
| Other interest receivable | **59,114** | 54,535 |
| | **59,114** | 54,535 |
| **Finance costs** | | |
| Lease liability interest | **3,027,807** | 2,463,075 |
| Other interest payable | **590,166** | 465,699 |
| Foreign exchange losses / (gains) | - | 2,076 |
| | **3,617,973** | 2,930,850 |
| **Net finance costs** | **3,677,087** | 2,876,315 |

### 28. Tax on profit/(loss) for the year

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| **Corporation tax** | | |
| Adjustments in respect to prior years | - | - |
| **Total current tax** | - | - |
| **Deferred tax** | | |
| Origination and reversal of temporary differences | - | 1,214,629 |
| Rate difference | - | 886 |
| Total deferred tax | - | 1,148,159 |
| Tax on profit/(loss) for the year | - | 1,148,159 |

**Factors affecting tax (credit) for the year**

The tax assessed for the year is lower (2023 - lower) to the standard rate of corporation tax in the UK of 25.0% (2023 – 23.52%). The differences are explained below:

| | Year ended 31 December 2024 £ | Year ended 31 December 2023 £ |
|---|---|---|
| Loss before taxation | **(11,017,604)** | 3,203,340 |
| Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 25.0% (2023: 23.52%) | **(2,754,401)** | 753,443 |
| **Effects of:** | | |
| Group relief | **913,843** | 1,937,145 |
| Income not deductible for tax purposes | **523,415** | 73,768 |
| Expenses not deductible for tax purposes | **1,317,143** | 486,351 |
| Movement in unrecognised deferred tax assets | - | (2,101,548) |
| Deferred tax rate impact | - | - |
| Adjustments with respect of prior years | - | - |
| **Tax on profit/(loss) for the year** | - | 1,148,159 |

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## Notes to the financial statements *(continued)*

### 28. Tax credit on loss (continued)

On 31 December 2024 the company had unrecognised deferred tax assets relating to the following temporary differences:

- Tax loss - £ 13,388,847 (2023: £13,083,096)
- Property, Plant and Equipment - £ 13,388,847 (2023: £2,288,296)
- Deferred IFRS 16 transition losses - £286,420 (2023: £233,654)
- Capital losses - £178,331 (2023: £178,331)

### 29. Property, plant, and equipment

| | Leasehold improvements £ | Plant and machinery £ | Motor Vehicles £ | Fixtures and fittings £ | Assets under constructions £ | Total £ |
|---|---|---|---|---|---|---|
| ***Cost*** | | | | | | |
| On 1 January 2024 | 44,556,821 | 6,735,220 | 113,043 | 5,233,814 | 5,005,878 | 61,644,776 |
| Additions | 205,620 | 358,423 | | - | 1,833,967 | 2,398,010 |
| Transfers | 6,417,052 | - | | 64,657 | (6,481,709) | - |
| Derecognition of legacy fixed assets | (23,220,496) | (5,399,964) | | (2,125,442) | - | (30,745,902) |
| **On 31 December 2024** | **27,958,997** | **1,693,679** | **113,043** | **3,173,029** | **358,136** | **33,296,884** |
| ***Accumulated depreciation*** | | | | | | |
| On 1 January 2024 | 24,704,193 | 6,004,656 | 113,043 | 3,307,122 | - | 34,129,014 |
| Charge for the year | 2,322,092 | 27,081 | | 647,205 | - | 2,996,378 |
| Derecognition of legacy fixed assets | (15,540,741) | (5,273,732) | | (2,126,212) | - | (22,940,685) |
| **On 31 December 2024** | **11,485,544** | **758,005** | **113,043** | **1,828,115** | **-** | **14,184,707** |
| ***Net book value*** | | | | | | |
| **On 31 December 2024** | **16,473,453** | **935,674** | **-** | **1,344,144** | **358,136** | **19,112,177** |
| On 31 December 2023 | 19,852,628 | 730,564 | - | 1,926,692 | 5,005,878 | 27,515,762 |

During the year, management conducted a comprehensive review of the Group's tangible fixed asset records, with particular focus on legacy assets capitalised prior to 2016. Following this review, management concluded that certain legacy items, with a net carrying value of £7.8 million (cost £30.7 million, accumulated depreciation £22.9 million), could no longer be substantiated as existing and/or providing future economic benefits, due to the absence of adequate supporting records and physical verification.

Accordingly, these assets have been derecognised in the year ended 31 December 2024 in accordance with IAS 16. The resulting loss on derecognition has been recognised as an exceptional item in the consolidated statement of profit or loss.

This one-off derecognition relates solely to legacy balances and no restatement of comparative figures has been made. The derecognition resolves the matters giving rise to the prior audit qualification in respect of property, plant and equipment.

**Impairment**
The Company follows the same approach as the Group (see note 8).

Based on the results of this impairment review, an impairment charge of £368,964 was recognised to reduce the carrying value of the Company's property, plant and equipment and right-of-use-assets to recoverable amount. The value-in-use of Crouch End is calculated at £2,666,757, compared with a carrying value of £3,035,721.

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## Notes to the financial statements *(continued)*

### 29. Property, plant, and equipment *(continued)*

***Sensitivity to changes in assumptions***

The sensitivity analysis has been prepared on the basis that the reasonably possible change in each key assumption would not have a consequential impact on other assumptions used in the impairment review.

| | Additional reversal/ (impairment) £ |
|---|---|
| Growth in the average ticket price (ATP) and spend per person (SPP) increased by 1.0% | 289,278 |
| Growth in admissions 0% | - |
| 1 Percentage point increase in weighted average cost of capital (WACC) | - |
| 1 Percentage point decrease in weighted average cost of capital (WACC) | - |

A positive amount represents a reduction in the impairment charge under the relevant sensitivity

### 30. Investments

| | Investments in subsidiary companies £ |
|---|---|
| **Cost** | |
| On 1 January 2024 and 31 December 2024 | 4,753,348 |
| **Impairment** | |
| On 1 January 2024 and 31 December 2024 | 2,870,268 |
| **Net book value** | |
| On 31 December 2024 | 1,883,080 |
| On 31 December 2023 | 1,883,080 |

**Impairment**
The Company holds direct investment in operating companies as outlined within the investment holding schedule within this note.

The Company determines whether these assets are impaired when indicators of impairment exist or based on the annual impairment assessment. The annual assessment requires an estimate of the recoverable amount by reference to the value in use of those investments. Where the recoverable amount is less than the carrying value, an impairment charge to reduce the investment to recoverable amount is recognised.

Estimating the value in use requires the Company to make an estimate of the expected future cash flows from its investment and discount these to net present value at a pre-tax discount rate.

As the carrying value relates to investments which each operate individual cinemas, the forecast cash flows are the same as that used for impairment testing of property, plant and equipment (see note 8 and note 30). These cash flows are adjusted to consider the repayment of any borrowings held on 31 December 2024 and future rental payments beyond the period covered by each current lease. These cash flows have been discounted at a weighted average cost of capital of 13.48%.

Based on management's assessment, an impairment charge of £Nil was recognised against specific investments reducing the total carrying value of investments during the year (2023: £NIL).

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## Notes to the financial statements *(continued)*

### 30. Investments *(continued)*

In calculating the recoverable amount of the Company's investments, reference was also made to the fair value less cost of disposal. It was concluded that the calculated value in use was greater than fair value less cost of disposal and therefore the recoverable amount was deemed to represent the value in use.

Investments in subsidiary, associate and jointly controlled undertakings on 31 December 2024 comprise:

| Name | Registered office address | Class of shares | Holding % | Principal activity |
|---|---|---|---|---|
| Picturehouse Entertainment Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Film distribution |
| Newman Online Limited** | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Dormant |
| Picturehouse Bookings Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Ticket booking operations |
| City Screen (SOA) Limited** | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Dormant |
| City Screen (Brighton) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Cinema operations |
| City Screen (Stratford) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Cinema operations |
| City Screen (York) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Cinema operations |
| City Screen (Liverpool) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Cinema operations |
| CS (Brixton) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Cinema operations |
| CS (Exeter) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100 % | Cinema operations |
| CS (Norwich) Limited* | 8th Floor, Vantage London Great West Road Brentford, TW8 9AG | Ordinary | 100% | Cinema operations |

*For the year ended 31 December 2024, Picturehouse Cinemas Limited has provided a guarantee under paragraph 479C of Companies Act 2006 which exempts this company from an audit.

**The company is exempt from audits by virtue of being dormant during the fiscal year.

### 31. Inventories

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Finished goods and goods for resale | 244,335 | 243,197 |

Inventory recognised in cost of sales in the year amounted to £2,473,968 (2023: £2.392,611). No items of inventory are carried at fair value less cost to sell or were written down to fair value less costs to sell and recognised as an expense during the year (2023: £nil). No items of inventory are pledged as security for liabilities.

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## Notes to the financial statements *(continued)*

### 32. Trade and other receivables

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Trade and other debtors | **1,374,117** | 1,504,718 |
| Amounts owed by Parent Group undertakings | **20,235,271** | 21,055,231 |
| Prepayments and accrued income | **1,200,491** | 1,054,758 |
| Net investment in sub-lease | **208,810** | 557,826 |
| Expected credit loss provision (trade and other receivables) | **(727,764)** | (685,762)) |
| | **22,290,925** | 23,486,771 |

A total expected credit loss provision of £727,764 (2022: £685,762) has been recognised, of which £Nil (2023: NIL) relates to trade and other receivables and £727,764 relates to amounts owed from Parent Group undertakings. The primary reason for the decrease in expected credit loss is the change to the probability of default to 6.0% (2023: 3%). This is due to the Group exiting Chapter 11 (see note 1).

The amounts owed by Parent Group undertakings from financing activities are repayable on demand. No interest is charged on these balances.

### 33. Cash at bank and in hand

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Cash at bank and in hand | **4,863,520** | 1,840,162 |

### 34. Creditors

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Trade creditors | **3,562,448** | 4,696,585 |
| Other creditors | **1,572,959** | 1,188,559 |
| Amounts owed to Parent Group undertakings | **61,701,566** | 53,886,071 |
| Government grants | **196,197** | (12,000) |
| Accruals and deferred income | **4,835,889** | 6,589,700 |
| | **71,869,059** | 66,348,915 |

The amounts owed to Parent Group undertakings are non-interest bearing and repayable on demand.

### Creditors: Amounts falling due after more than one year

| | 31 December 2024 | 31 December 2023 |
|---|---|---|
| | £ | £ |
| Government grants | **2,975,950** | 2,401,708 |
| Capital contributions | - | - |
| | **2,975,950** | 2,401,708 |

Government grants relate primarily to the construction of a library in West Norwood in respect of which grant income was received in the year ended 2017 and is recognised on a straight-line basis over a 30-year period.

The balance at 31 December 2024 includes landlord contributions received during the year in respect of leasehold improvements, which are recognised as deferred income and released to profit or loss over the term of the related leases. The increase in the balance during the year primarily reflects the receipt of these landlord contributions.

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## Notes to the financial statements *(continued)*

### 35. Leases

The Balance Sheet shows the following amounts relating to leases:

| | Land and buildings | Other | Total |
|---|---|---|---|
| | £ | £ | £ |
| **Right-of-use assets** | | | |
| 1 January 2024 | 6,704,402 | 1,400 | 6,705,802 |
| Additions | - | - | - |
| Lease modifications | (79,496) | - | (79,496) |
| Landlord Contributions | (1,554,570) | - | (1,554,570) |
| Opening Bal adjustment | (308,735) | (1,400) | (310,110) |
| Impairment reversals | 352,110 | - | 352,110 |
| Depreciation of right of use asset | (561,060) | - | (561,060) |
| **31 December 2024** | **4,552,649** | **-** | **4,552,649** |
| | | | |
| **Lease liabilities** | | | |
| 1 January 2024 | (22,947,408) | 47,422 | (22,899,986) |
| Disposals | 3,184,623 | (47,029) | 3,137,594 |
| Lease modifications | 79,889 | (393) | 79,496 |
| Interest expense related to lease liabilities | (3,027,807) | - | (3,027,807) |
| Repayment of lease liabilities (including interest) | 3,615,586 | - | 3,615,586 |
| **31 December 2024** | **(19,095,118)** | **-** | **(19,095,118)** |
| | | | |
| **Current** | **(704,799)** | **-** | **(704,799)** |
| **Non-current** | **(18,390,319)** | **-** | **(18,390,319)** |

The Statement of comprehensive income shows the following amounts relating to leases:

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| **Depreciation charge of right-of-use assets** | | |
| Land and buildings | **(561,061)** | (887,069) |
| Other | **(48,822)** | - |
| Opening balance adjustment | **(308,735)** | |
| Impairment charge of right-of-use assets | **-** | (73,712) |
| Impairment reversals of right of use assets | **352,110** | 310,137 |
| **Charge to operating profit** | **(566,508)** | (650,644) |
| Interest expense (included in finance costs) | **(3,027,807)** | (2,463,075) |
| **Charge to profit before taxation for leases** | **(3,594,315)** | (3,113,719) |

Commitments for leases classified as short-term on 31 December 2024 was £nil (2023: £nil). No leases contain a residual value guarantee clause. The sensitivity of impairments to key assumptions has been disclosed in note 30.

**Modification and discount rates**
During the year, due to the negotiations held with landlords, five leases has changed in substance from a consideration perspective. Thus, the modification treatment per IFRS 16 has been followed.

In line with the approach on transition to IFRS 16, the Company has used an incremental borrowing rate and made a corresponding adjustment to the right-of-use asset. The amendments did not result in the identification of a separate lease.

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## Notes to the financial statements *(continued)*

### *35.* Leases *(continued)*

On transition, the asset specific incremental borrowing rate applied to each lease was determined by considering the risk-free rate, adjusted for factors such as the credit rating linked to the life of the underlying lease agreement. These rates are intended to be long term in nature and calculated on inception of each lease. The incremental borrowing rate applied to property leases because of modifications in 2023 ranged from 15.4% to 17.1%. Prior to the modifications these ranted from 4.8% to 13.0%.

### 36. Deferred tax

The Company has recognised a deferred tax asset as follows:

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| Accelerated capital allowances | - | - |
| Deferred transition loss | - | - |
| Loss carried forward | - | - |
| | - | - |

*Movement in deferred tax*

| | **01 January 2024** | **Recognised in income** | **31 December 2024** |
|---|---|---|---|
| | **£** | **£** | **£** |
| Tangible fixed assets | **44,385** | **(44,385)** | - |
| Deferred transition loss | - | - | - |
| Loss carried forward | - | - | - |
| | **44,385** | **(44,385)** | - |

The deferred tax asset recognised in the prior year related to temporary differences on tangible fixed assets and was fully derecognised during the year following the derecognition of the underlying assets

### 37. Called up share capital

| | **31 December 2024** | 31 December 2023 |
|---|---|---|
| | **£** | £ |
| **Shares classified as equity Allotted, called up and fully paid** | | |
| 7,850,000 Ordinary shares of £0.00002 each (2023: 7,850,000 Ordinary shares) | **157** | 157 |

The Directors have not proposed any dividend payment for the financial year or up to the date of signing of this Annual report and financial statements. The Company does not have a limited amount of authorised capital.

### 38. Related party transactions

As the Company is a wholly owned subsidiary of Crown UK Holdco Limited, the Company has taken advantage of the exemption contained in FRS 101 8(k) and has therefore not disclosed transactions or balances with entities which form part of the group (or investees of the group qualifying as related parties) in-line with IAS 24. The consolidated financial statements of Crown UK Holdco Limited, within which this Company is included, can be obtained from the address given in note 41. There are no other related party transactions other than those disclosed within the consolidated financial statements.

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## Notes to the financial statements *(continued)*

### 39. Directors' emoluments

One Director received emoluments of £181,699 (2023: £170,048) from the Company, which is in respect of services rendered to the Group.

The remuneration of one Director is paid by Cineworld Cinemas Limited, which makes no recharge to the company. They are a director of Cineworld Cinemas Limited and several fellow subsidiaries, and it is not possible to make an accurate apportionment of their remuneration in respect of each of the subsidiaries. Accordingly, the above details include no remuneration in respect of this Director. Their total remuneration is included in the aggregate of Directors' remuneration disclosed in the financial statements of Cineworld Cinemas Limited.

### 40. Ultimate parent company

As at the balance sheet date, the Company's immediate parent is Cineworld Cinemas Holdings Limited, a Company incorporated in England and Wales. The Company's ultimate parent undertaking is Cineworld Parent Limited (previously, the ultimate parent was Cineworld Group plc) a company incorporated in the Cayman Islands. The smallest and largest Group in which the results of the Company are consolidated is that headed by Cineworld Parent Limited. Copies of the financial statements are available at Companies House and can be obtained from 8th Floor Vantage London, Great West Road, Brentford, United Kingdom, TW8 9AG.

### 41. Commitments and contingencies

The Company has provided an unlimited guarantee as part of a UK-wide banking facility agreement, along with fellow Group undertakings.

The Company is listed as a chargor as part of a Group-wide debenture between Crown UK Holdco Limited and external lenders. As a result, the company and its subsidiaries have a floating charge over the Company's assets.

The Company had no other contractual commitments, pension commitments, guarantees, and contingencies on 31 December 2024 (2023: £nil).

### 42. Post balance sheet events

Refer to Note 22 to the Group financial statements for further details of subsequent events.